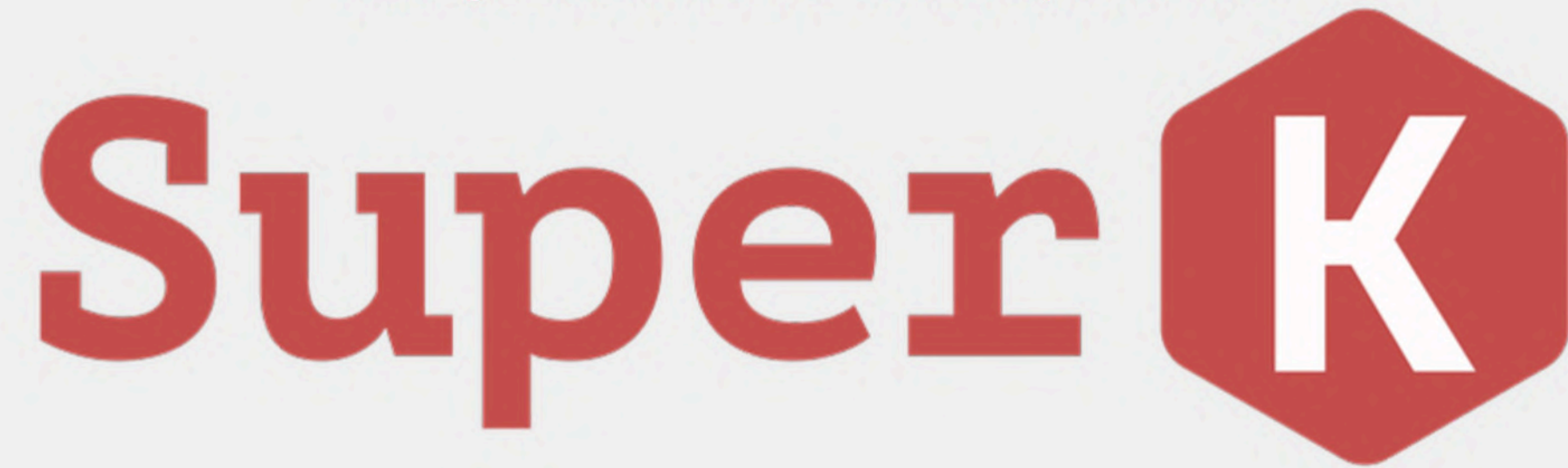


Business Strategy Lab

Making store visits data-driven & predictable



Engineering Store Performance at Scale

SUBMITTED BY:
Chinmay Agrawal
Ranganadh Kollapureddi

#1 Context & Introduction: Primary Research and Findings

#2 Refined Hypothesis and Secondary Research Insights

#3 Proposed Solutions: AMS, Planogramming & AI Auditing

#4 Plan of Action and Projected Impact



Context & Introduction: Research findings, Insights & Hypotheses

Our Initial Mandate: Predict Store Risk.

THE CONTEXT

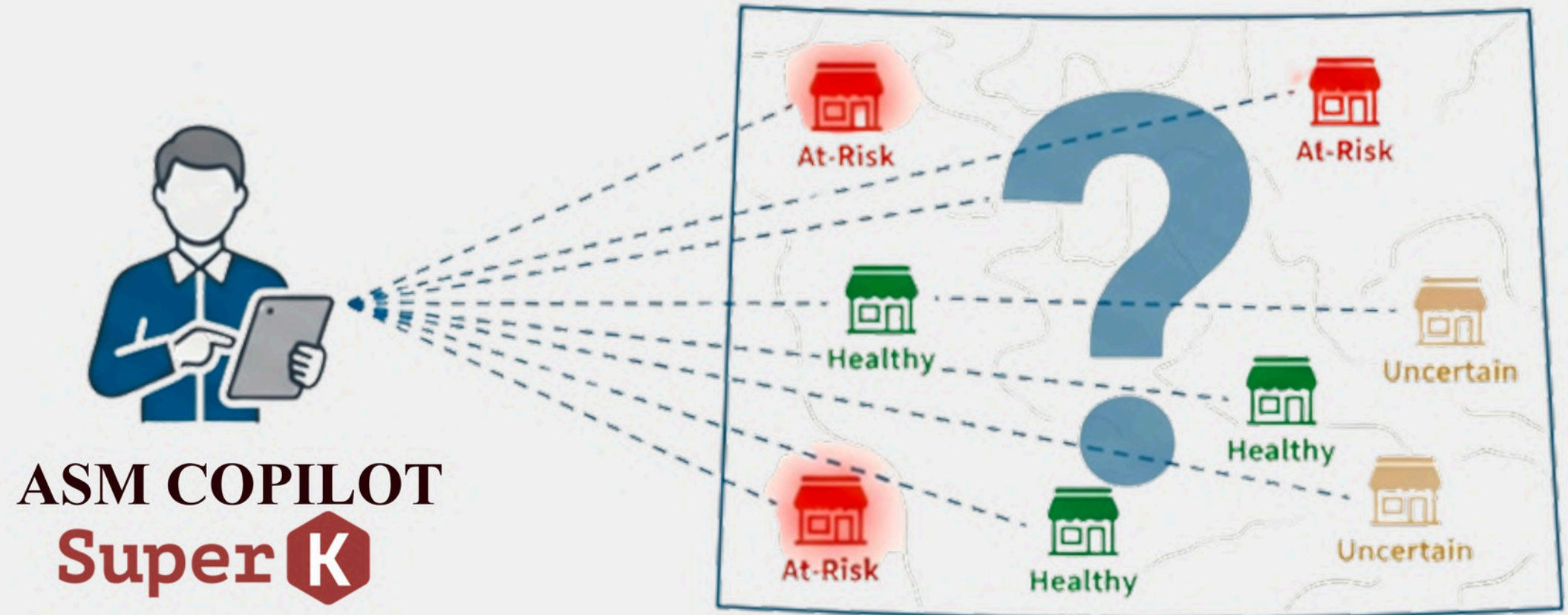
1. SuperK operates over 100 franchise stores in Tier-3 to Tier-5 towns.
2. Store execution relies on manual audits and subjective, in-person visits from Area Sales Managers (ASMs).
3. This leads to inconsistent store performance, with some stores needing help being missed entirely, while others receive unnecessary attention.

DELIVERABLE

A prototype that shifts field supervision from reactive firefighting to structured, insight-led decision-making.

THE INITIAL BRIEF

1. Predict **which stores need attention** using signals like sales dips, hygiene issues, or stockouts.
2. Auto-generate **store-specific Action Plans** for ASMs.
3. Use remote inputs (photos, videos) to **reduce low-value visits**.



Understanding Current Systems: POS Dashboards are immaculate

Our goal was to identify the hidden drivers of store performance by **speaking to every stakeholder** and observing operations in their natural environment. We went to Rayachoti to see how stores really operate-beyond dashboards, beyond numbers-and to understand what truly drives store performance.

THE QUESTIONS WE CARRIED INTO THE FIELD

- Is performance inconsistency a data gap or an execution gap?
- Why do some stores with the same playbook outperform others?
- What is the operational hierarchy & structure, and what takes up ASM bandwidth?
- What part of store health is visible, and what part is invisible?

- Our first major discovery on the ground was clear: The problem is not data visibility. **The initial hypothesis**, that ASMs lacked quantitative insights, **was disproven immediately**.
- SuperK already **has strong dashboards** with real-time data across sales, inventory, and customer segments. The POS system tracks everything from category trends to repeat vs. new customers, with complete visibility for Store Partners, ASMs, and RSMs via a Metabase dashboard.

In short. The data exists.

What's missing is the ability to turn this data into actionable, qualitative understanding of store health.

SuperK TEAM

Understanding how **RSMs, ASMs, and SAEs** assess stores - and where important signals get missed.

Customers

20-25 intercepts to uncover why they choose (or avoid) SuperK vs local kiranas.

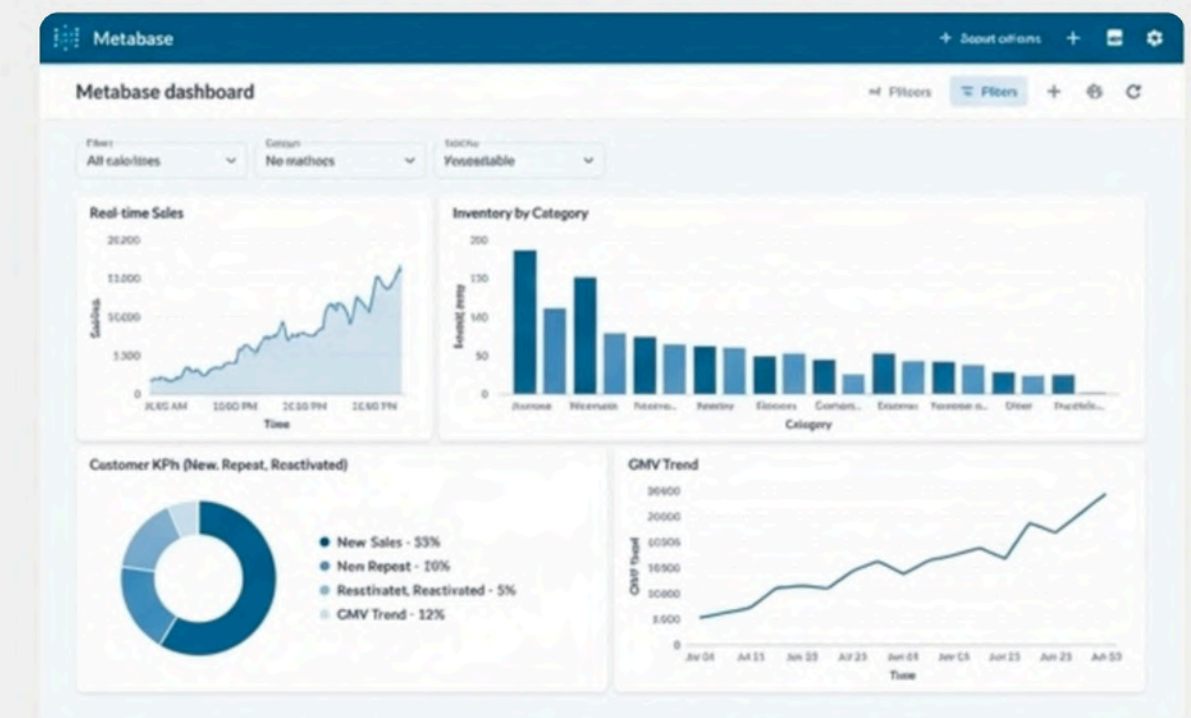
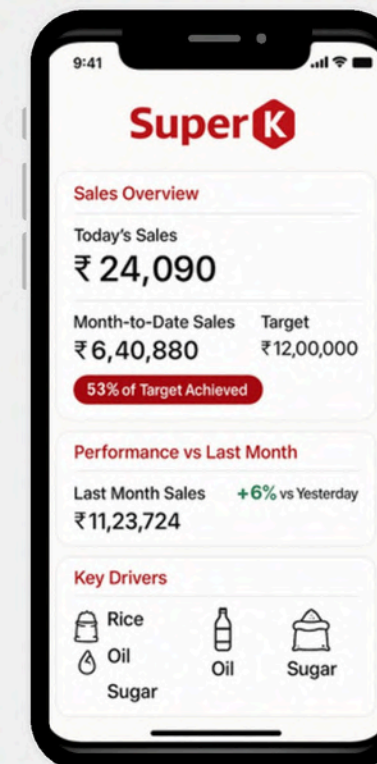
Store Partners

7 partners across high/mid/low performers to see how SP behaviour drives store health.

Observation

Shadowed ASM to map what takes time, what varies store-to-store, and what can be automated.

RAYACHOTI FIELD IMMERSION



POVs of Different Store Partners: What's good & what's bad

Store Partner conversations revealed what dashboards miss: the daily realities, motivations, and support gaps that shape performance. These also happens partly because **many of the SPs are not great businessmen**, coming from a variety of backgrounds who rely heavily on SuperK for mentorship & growth

The Secret to Success – KVR Store



"What is the secret?... It's the smile, sir. I build relationships with everybody who walks into the store... I try to make sure they come again and again."

Insight:

Strong people engagement => strong repeat customers => highest GMV

The Struggle with Systems – SR Mart



"I get stuck in stock-outs very frequently... because I order only the safe quantity recommended... When it stocks out, I have to source it from outside because they won't get it."

Insight:

Fear-driven external ordering => chronic stock-outs => lost sales

The Need for Support – Sri Shiva Shakti Store



"They (ASM-RSM) don't come and sit with us like you did now... SAE comes, but he just repeats the same things and leaves. We have so many doubts, but no one to clarify them."

Insight:

Low guidance => low confidence => slow execution => low store health.

This is why SuperK needs a system that understands people, not just metrics.

SP Effort Variation + No Planogram = Hidden Revenue Loss

The most involved SP & strongest customer relationships = Highest GMV

KVR Store

- Messy racks, imperfect upkeep
- SP stays on floor & knows every customer
- Strong relationships => repeat visits
=> **Highest GMV ~ ₹22L/month**

Reason: **Strong SP-led engagement** outweighed operational gaps - people power beat process.



The cleanest & best organised store = Lowest GMV

Sri Lakshmi Vignesh Store

- Immaculately maintained
- Highly compliant SP
- Yet **lowest GMV: ~₹4.5L/month**

Reason: **Poor highway location + weak footfall**, which is a structural constraint, not an execution failure



Another Hidden Gap: No Standard Planogram Across Stores

- Store Partners are shown what to stock, but not how to place it.
 - Onboarding uses a simple verbal walkthrough - "aise rakh lo."
 - No fixed planogram, category flow, eye-level rules, or PL-blocking.
- Result: Every store rearranges shelves their own way.

Without a standard planogram, even well-run stores drift - creating performance gaps no dashboard can detect.



Impact on Store Health

- **Unpredictable Customer Flow:** Harder to find items => lower basket size + poor convenience perception.
- **Inconsistent Promoter Selling:** Different shelf logic = different customer journeys => inconsistent upselling.
- **Loss of High-Margin Visibility:** Same assortment performing differently store to store.



Without standard planograms, even strong stores underperform - and dashboards can't catch it.

Store Performance = 40% Metrics + 60% People and Context

Store performance had little to do with dashboards or numbers. While they are a vital aspect, the differences came from people, behaviour, and on-ground realities no system ever measures.

STORE PARTNER INVOLVEMENT

The single biggest driver of performance. High-GMV stores had deeply involved partners who stayed on the floor, managed staff, and actively pushed sales; low-GMV stores had passive partners.



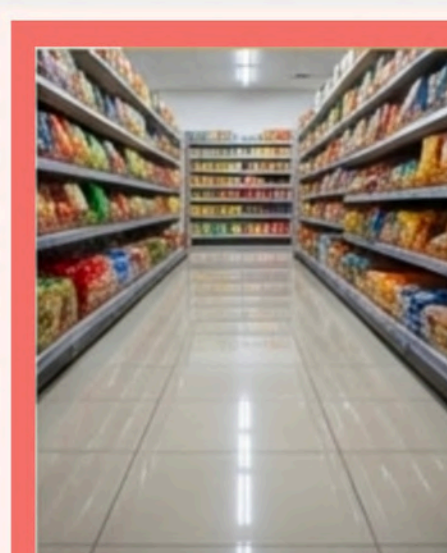
PROMOTER ENERGY

Promoters directly shape customer experience. Stores with energetic promoters who greet, guide, and upsell consistently outperformed those with disengaged or absent promoters.



CLEANLINESS & DISCIPLINE

Basic retail hygiene-clean floors, organised shelves, correct price tags-created a visible difference in footfall and conversion. Poor discipline correlated strongly with poor sales.



CUSTOMER EXPERIENCE

Shoppers repeatedly mentioned friendliness, help with finding items, and overall store "feel." Experience quality varied sharply between stores despite identical assortments.



LOCATIONAL FACTORS

Stores in highway stretches or low income catchments struggled despite strong execution-nearby population mix, footfall patterns, and purchasing power directly shaped GMV ceilings.



Store health is primarily a people variable, not a metrics variable. Above are the human & contextual drivers we identified.

Real Problem: ~~Prediction~~ Measuring Store Health.

THE OLD PROBLEM STATEMENT (WHAT WE THOUGHT)

~~"Use sales and inventory data to
predict which stores need attention."~~



THE REAL PROBLEM STATEMENT

"SuperK lacks a structured, continuous way to quantify and track qualitative store health - the human and contextual drivers of GMV and consistency."

WHY THIS GAP EXISTS:

SuperK has invested deeply in revenue-side innovation, but internal operations and auditing systems haven't scaled at the same pace - creating high variation across stores despite strong dashboards.

THE CORE NEED

A system that helps ASMs measure store health remotely, distinguish structural issues from execution failures, prioritize visits, and convert intuition into consistent, high-impact actions.

Approach Methodology

We believed that uneven ASM effort and **limited visibility into store health** led to inconsistent franchise performance. Our initial approach was to find the right data to build a better dashboard, **which was later unfounded**.

1

PRIMARY RESEARCH ON THE GROUND

We began in Rayachoti - the only cluster with the full mix of high-, mid-, and low-performing stores. We spoke to every stakeholder and mapped what truly drives performance, and what must change structurally.

2

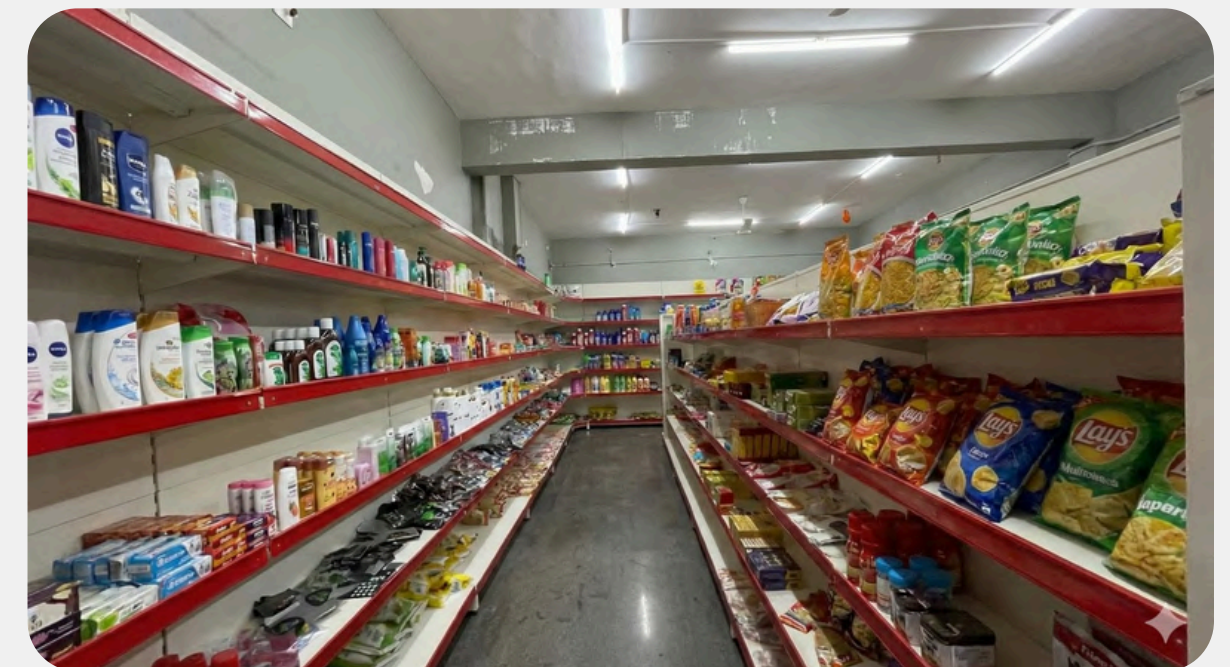
LEARNING FROM INDUSTRY STANDARDS

Once we understood the gaps, we studied leading retail & QSR playbooks to learn how structured audits, SOPs, and accountability loops are designed.

3

AUDIT MANAGEMENT SYSTEM - SKELETON

Equipped with structured solutions and frameworks, we designed the audit management system that SuperK can integrate with their current operations to make structured store visits and have better action plans.



QSRs Proved: Structured Auditing = Business Growth

When we went looking for industries that had already solved SuperK's problem, the **answer didn't come from retail – It came from fast-food.**

Because if you think about it, **QSRs run the exact same race as SuperK**: 100+ distributed outlets, tonnes of sales data converted to trends and dashboards & ofcourse the boatload of qualitative factors we discussed earlier.

Listed below are the leaders whose playbooks have been referred to build an execution strategy for SuperK:

- **McDonald's** – CHAMPS scores **predicted repeat visits.**
- **KFC** – a **cleaner**, more accurate store **sells more.**
- **Starbucks and Domino's** – tight operational audits boost the NPS and ticket size.



**GLOBAL LEADERS WHO PERFECTED
AUDIT-DRIVEN CONSISTENCY**

But QSRs did something retail never fully copied. **They turned every qualitative variable inside a store into a measurable audit score:**

Clean floors.	Skill variability
Zero expired stock.	Eye-level placement.
FIFO rotation.	Temperature logs.

All the things SuperK struggles to see today.



The biggest learning from QSRs is that **building SOPs** eliminates every variable, and **provides predictability** to problems before they arise. This is the discipline that SuperK needs to make store visits remote and data backed.

In QSRs, qualitative consistency isn't luck – it's engineered through structured audits.

The Retail Playbook: SuperK lacks Store Standards & SOPs

1

SOP & Audit centred operations (Walmart, McD)

1) What it is: End-to-end audits covering hygiene, SOPs, expiry, cash handling, customer experience, product integrity.

2) Evidence from global retail: Walmart and 7-Eleven => improved numbers of cash control, profitability, inventory management & stability.

3) Relevance to SuperK: SuperK is still following the MVP's SOPs & audit system, which needs evolving. A structured audit system tightens execution and reduces variability.



2

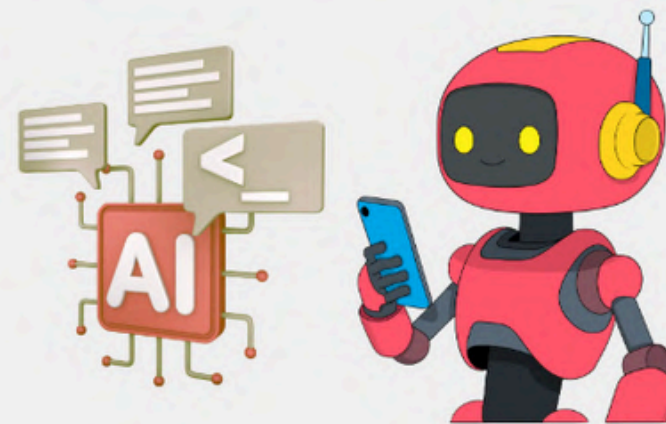
AI-Enabled Auditing (Reliance Retail, 7-Eleven)

1) What it is: An AI layer that continuously verifies store ops execution by collecting customer NPS & via visual inputs

2) Evidence from global retail:

- Reliance Retail uses voice first NPS agents over ~19000+ stores.
- 7-Eleven & Walmart use computer vision on shelf images for audits

3) Relevance to SuperK: Easiest way to monitor ops execution across 130+ stores.



3

Planogram Discipline (Walmart, Target)

1) What it is: A blueprint of what goes where, with what, and how much - so every store functions the same way.

2) Evidence from global retail:

- Walmart & Target report 3-5% category sales lift.
- 7-Eleven - aisles with 90%+ planogram compliance consistently outperform others

3) Relevance to SuperK: SPs organize SKUs on their own. A planogram is the simplest way to boost conversions & consistency.



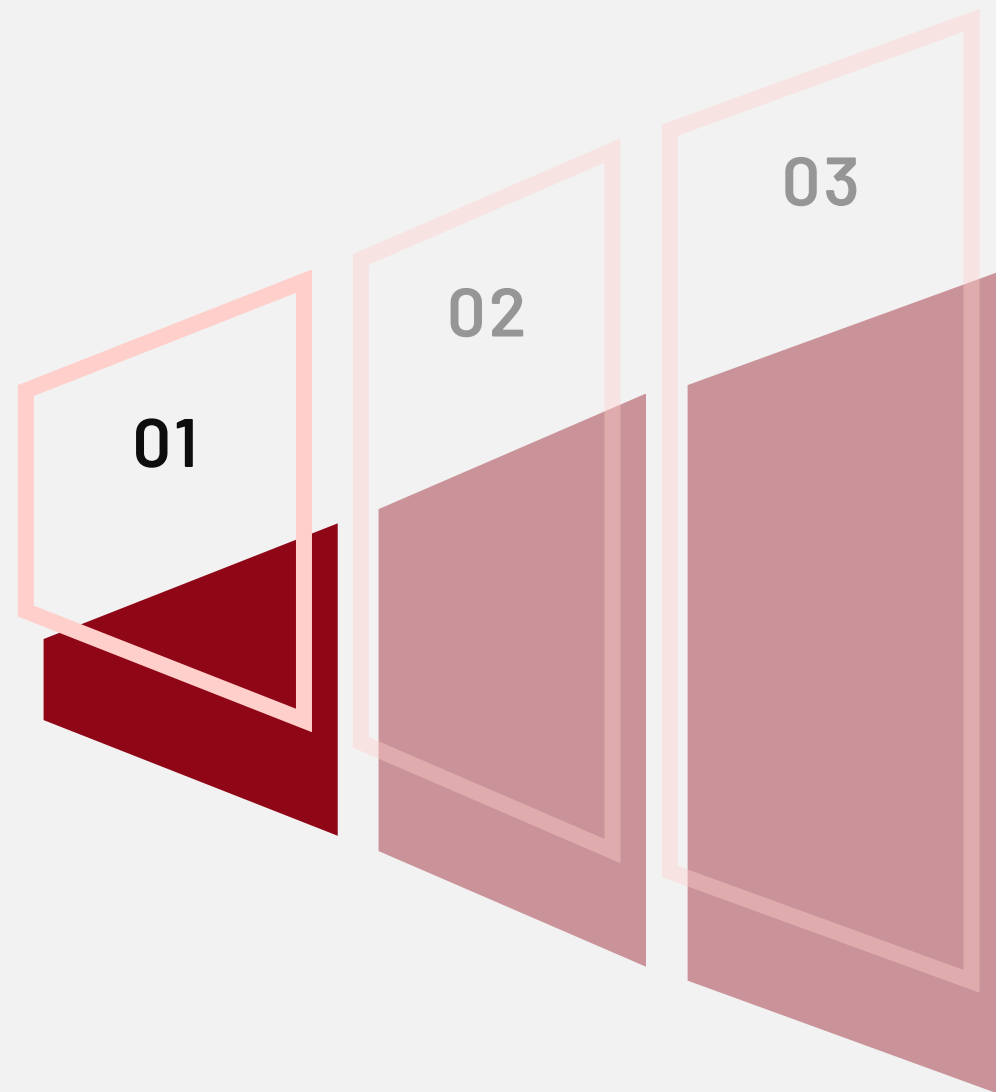
Primary layers of our proposed solution are #1 & 2, with #3 to support the system.



Building SuperK's Retail Playbook: Translating Retail Principles into an Operating System

Standardize execution. Optimize placement. Automate verification.

Solutioning for SuperK - 3 Key Implementations



Audit Management System - Standardizing the Basics

End-to-end audits covering hygiene, SOPs, expiry, cash handling, customer experience, product integrity.



AI Auditor: Continuous Eyes on Execution & Experience

Extending the data collection layer with Customer NPS collection & installing a new set of eyes verifying store ops.



Planogram Discipline: Driving Consistency in What Sells

A blueprint of what goes where, with what, and how much - so every store functions the same way.

Together, these three layers move SuperK from reactive checks to proactive, system-driven execution.

We started with the whole universe of metrics

Bucket	Metric
Sales, Growth & Revenue (14)	Daily Sales
	Sales vs Target
	Average Basket Value (ABV)
	Items per Basket
	Customer Count (Daily)
	Revenue Trend (Daily / Weekly / Monthly)
	Same Store Sales Growth
	Category-wise Revenue
	Category Growth Trend
	Membership Growth Curve
	New Member Acquisition Rate
	Revenue from Members vs Non-members
	Frequency × Basket Value Metric
	Promoter-driven Sales Contribution

Bucket	Metric
Category & Merchandising (7)	Planogram Compliance %
	Share of Shelf
	SKU Rationalization Index
	Category Mix Contribution
	Price Compliance
	Promo Visibility Score
	Category-wise Stockouts

Bucket	Metric
People & Productivity (6)	ASM Notes – Flag Intensity Score
	ASM Notes – Frequency
	Issue Recurrence Rate
	Training Effectiveness Score
	Staff Churn (Implicit)
	Productivity per Staff

Bucket	Metric
Customer Experience & Loyalty (10)	Net Promoter Score (NPS – Daily / Weekly)
	NPS Trend
	NPS per Store
	Customer Complaints Count
	Complaint Resolution Time (TAT)
	Customer Feedback Sentiment (IVR / SMS / App)
	Google Reviews – Rating
	Google Reviews – Volume
	Referral Rate
	Coupon Redemption Rate

Bucket	Metric
Supply Chain & Inventory (10)	Stock Availability %
	Never-Out SKU Availability
	Stockouts Count
	SKU-wise Stock Health
	Inventory Turnover
	Inventory Days on Hand
	Shrinkage %
	Physical vs System Stock Variance
	Inward Fill Rate
	Warehouse Dispatch Accuracy

Bucket	Metric
Financial Health & Unit Economics (6)	Gross Margin %
	GMROI
	Cost Leakage Indicators
	Payment Timeliness (Store → HQ)
	Break-even Progression
	Store Profitability Index

Bucket	Metric
Store Operations (12)	Store Health Score (Composite)
	Store Opening Compliance
	Store Hygiene Score
	Store Cleanliness Index
	Store Infrastructure Readiness
	Asset Functionality Score
	Store Timeliness Score
	SOP Compliance %
	Training Completion %
	Staff Attendance %
	Promoter Attendance
	Store Partner Time-in-Store

Bucket	Metric
Marketing & Acquisition (6)	Campaign Performance Index
	Coupon Effectiveness
	Referral Acquisition Rate
	Local Marketing Execution Score
	Contest Completion Rate
	Contest Timeliness Score

Bucket	Metric
Quality, Compliance & Risk (7)	Audit Compliance Score
	Food Safety Compliance
	Pest Control Status
	Expiry / FIFO Compliance
	Safety Incident Count
	SLA Adherence (Internal)
	Critical Non-Compliance Flags

Making Store Execution Visible, Comparable, and Actionable: AMS

Metric Bucket	What This Captures	Why It Matters (So What?)	Responsible/ Accountable
Sales & Inventory Health	Stock availability, SKU movement, footfall trends	Directly impacts conversion and revenue. Stockouts and poor availability silently kill sales before any audit flags appear.	Store Partner (R) / ASM (A)
Store Audits & SOP Compliance	Hygiene, expiry, cash handling, shelf discipline, SOP adherence	Ensures execution consistency and reduces operational risk. Acts as the foundation for scale and predictability.	SAE (R) / ASM (A)
Shrinkage & Loss Control	Inventory variance, wastage, damage, unexplained loss	Protects margins. Small leaks here compound quickly across the network if not surfaced early.	Store Partner (R) / ASM (A)
Partner Grievances & Friction	Issue tickets, complaints, resolution timelines	High friction correlates with poor execution and disengagement. This is an early warning signal, not just HR noise.	ASM (R) / RSM (A)
Customer Experience (NPS)	Post-visit customer feedback and sentiment	Captures what audits can't — the customer's lived experience. Surfaces execution gaps before they show up in sales data.	Store Partner (R) / ASM (A)

Designing the system before the data

We designed the AMS as a role-based decision system by first imagining the backend data structure and then creating distinct views for each stakeholder: **Leadership, ASM, Store Partner, and Central Ops**. This allowed us to test whether the dashboard would actually support daily workflows, even before real data access.

Let's head to the dashboard demonstration

[Link to access the Sample Dashboard](#)

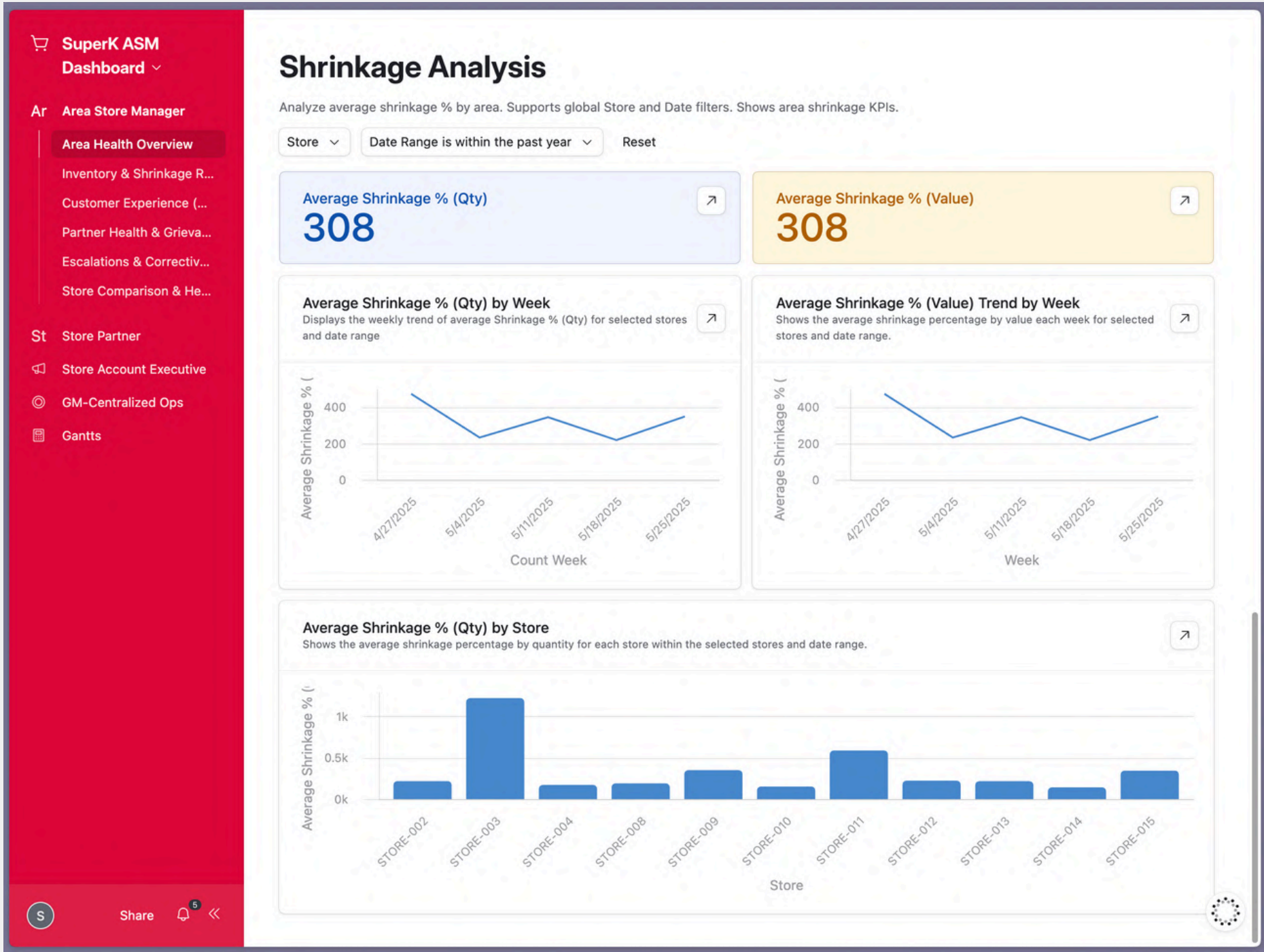
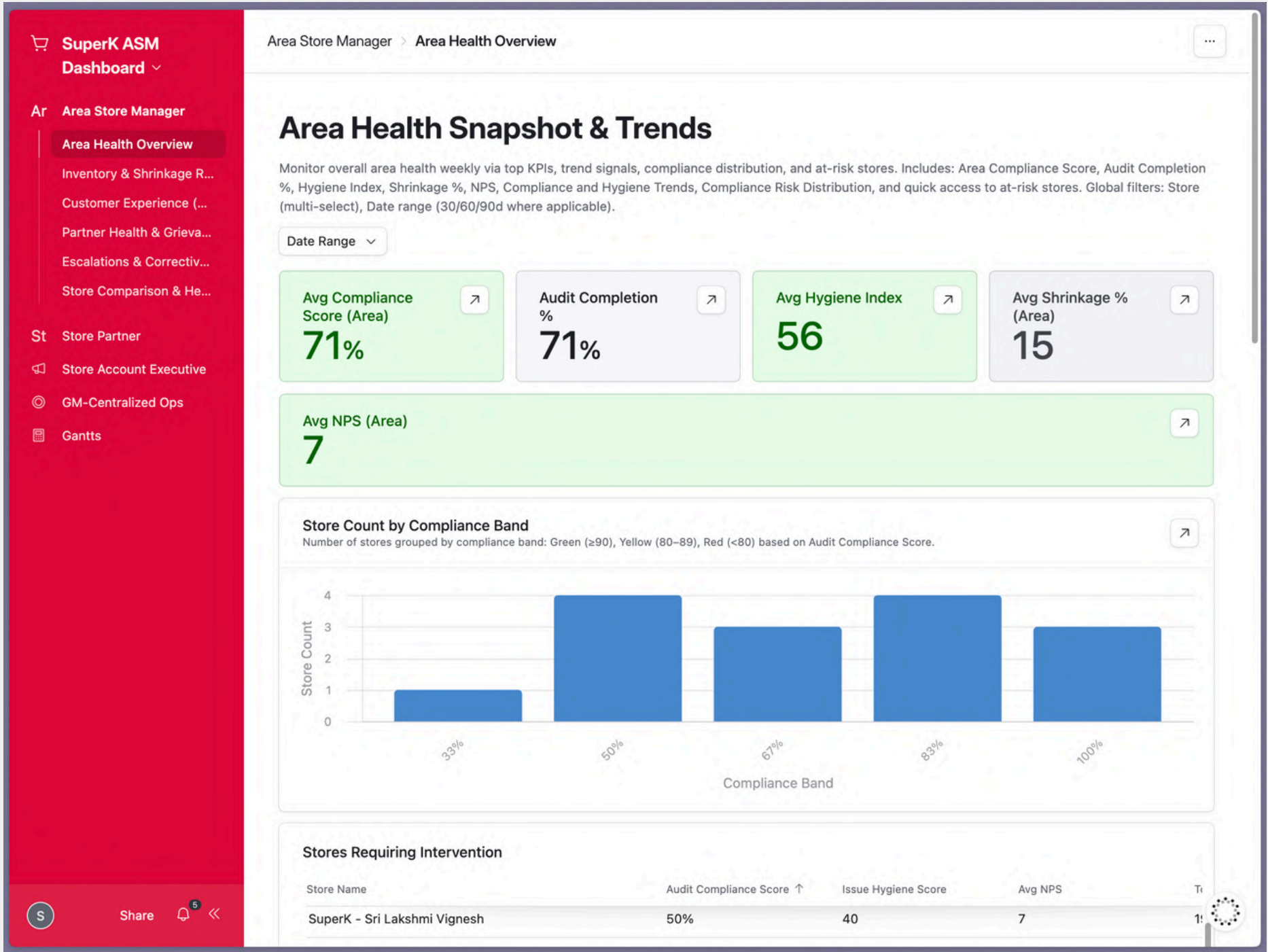
Building the 360° Data Layer - New Data Sources

To build a reliable Store Health Score, we need a 360° data layer that captures behaviour, execution, and customer signals.

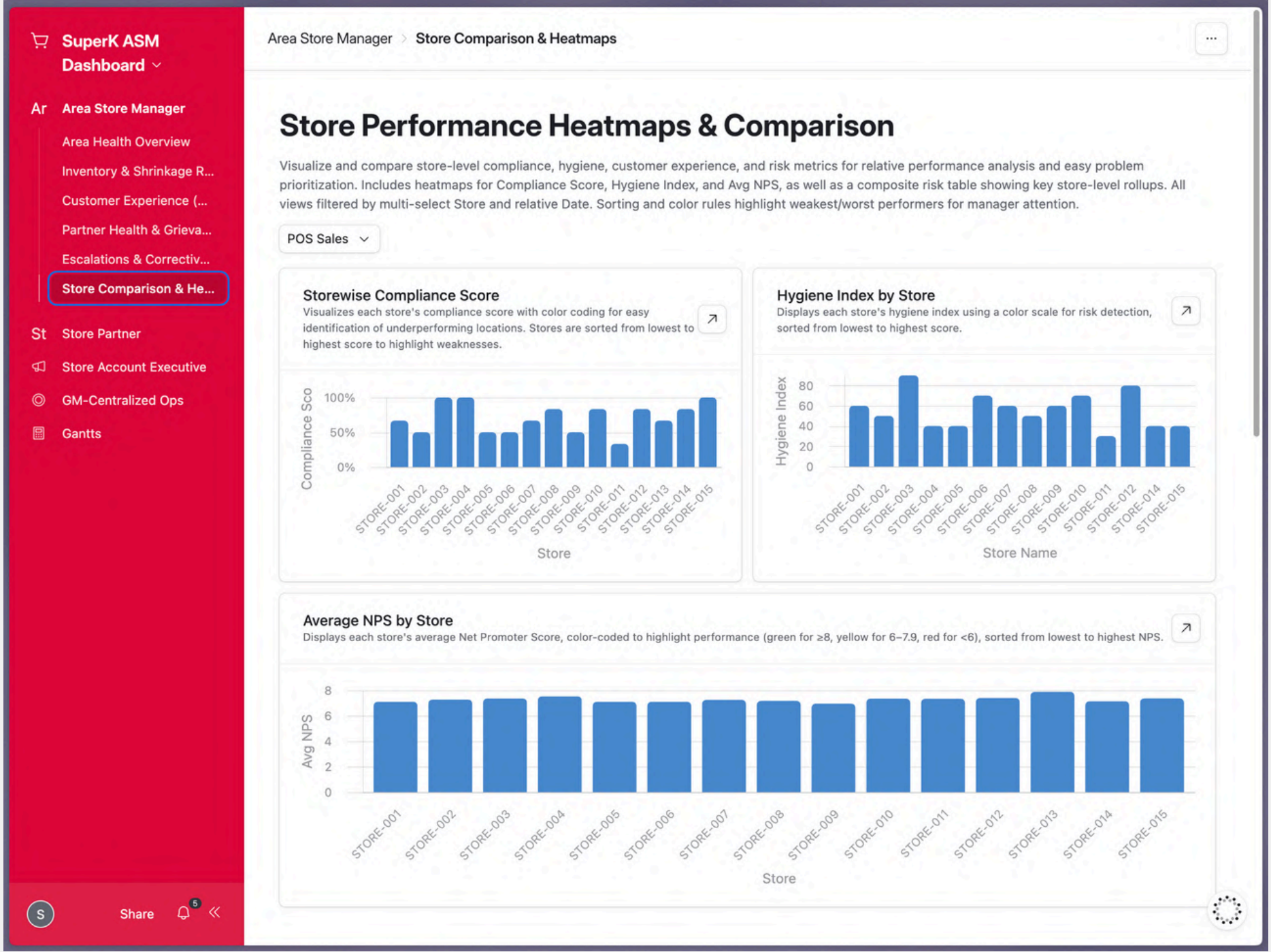
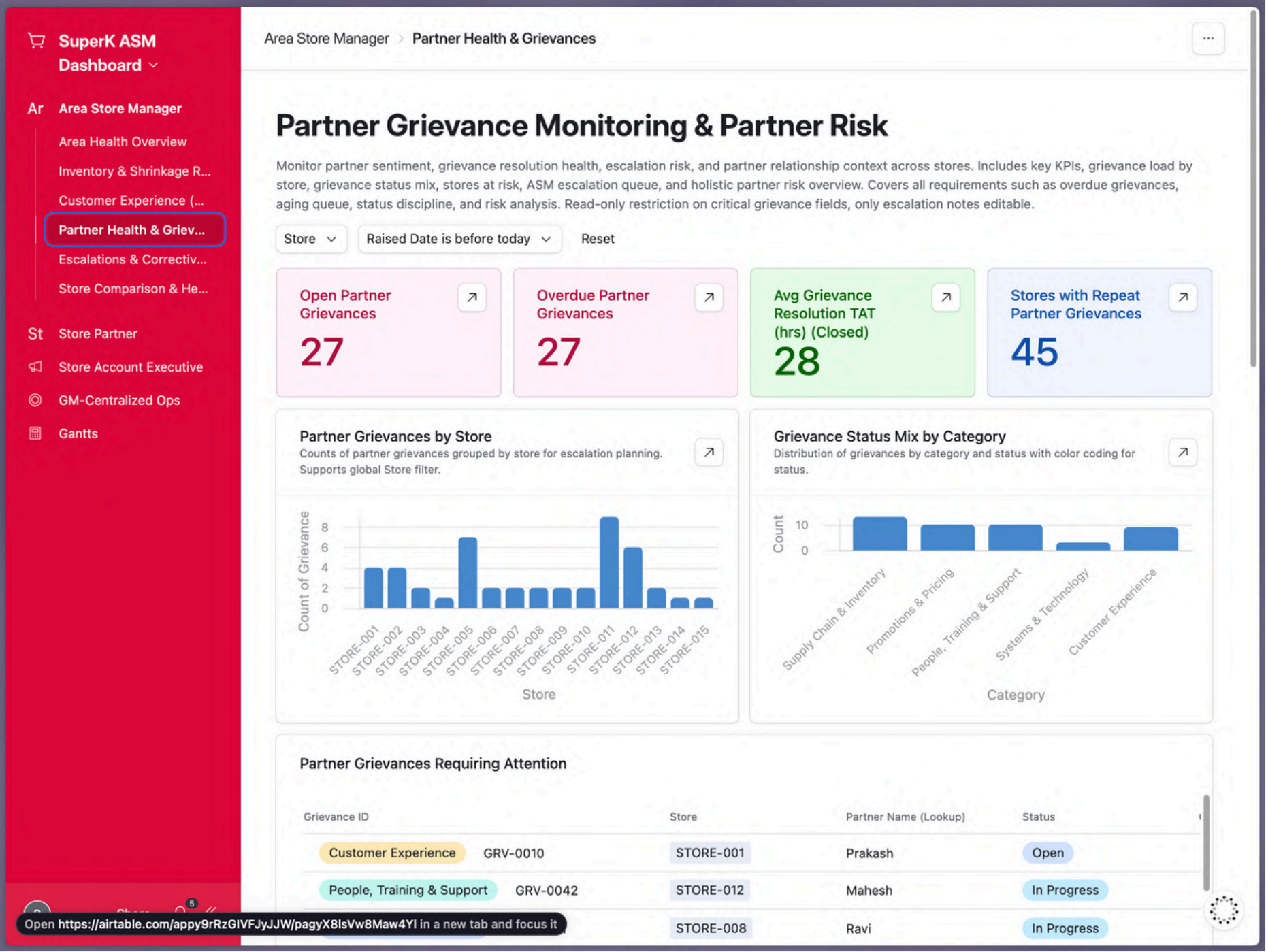


These six sources flow into the Data Layer and power the dashboard we just saw.

Dashboard Snapshots - ASM

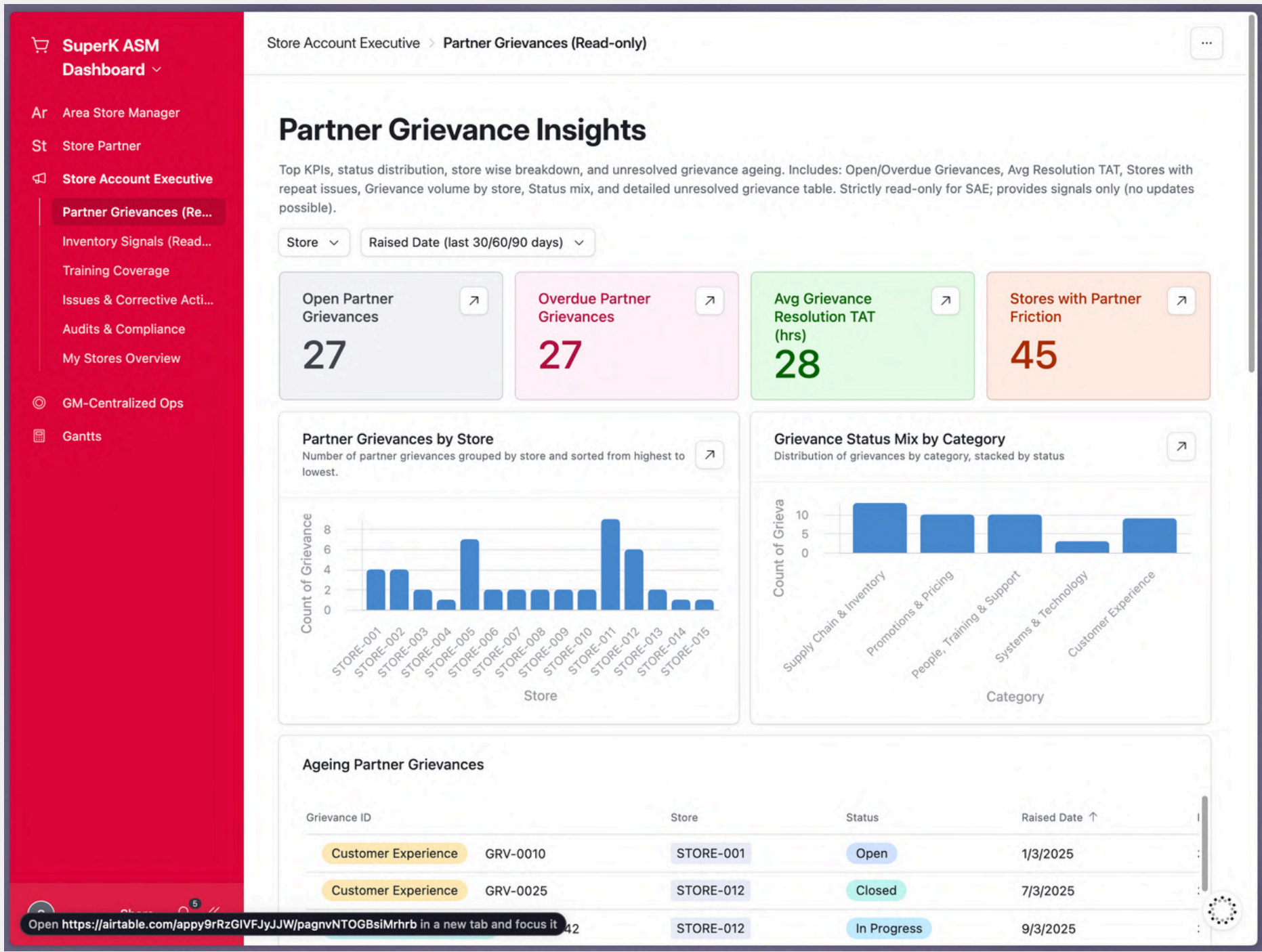
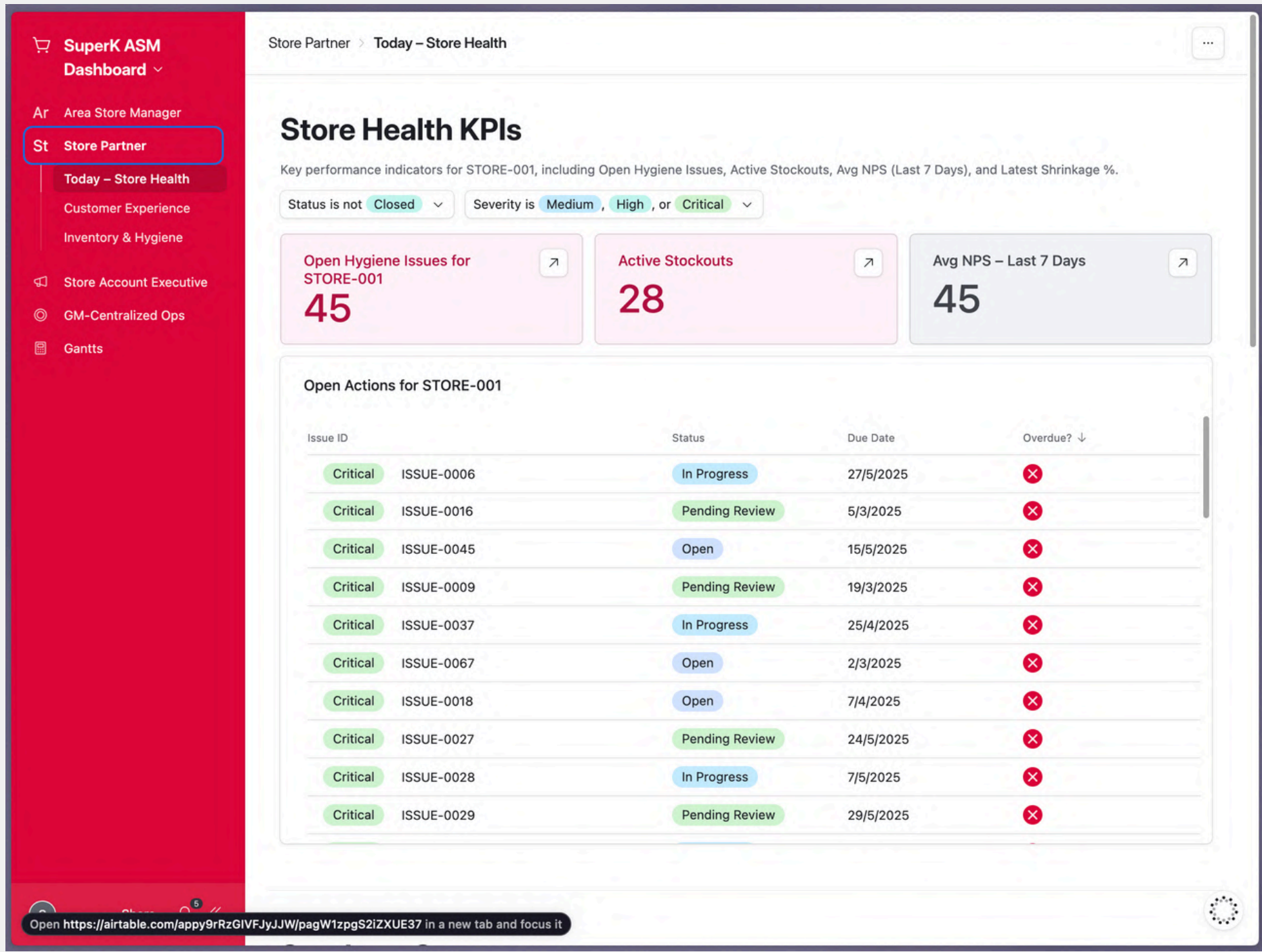


Dashboard Snapshots - ASM



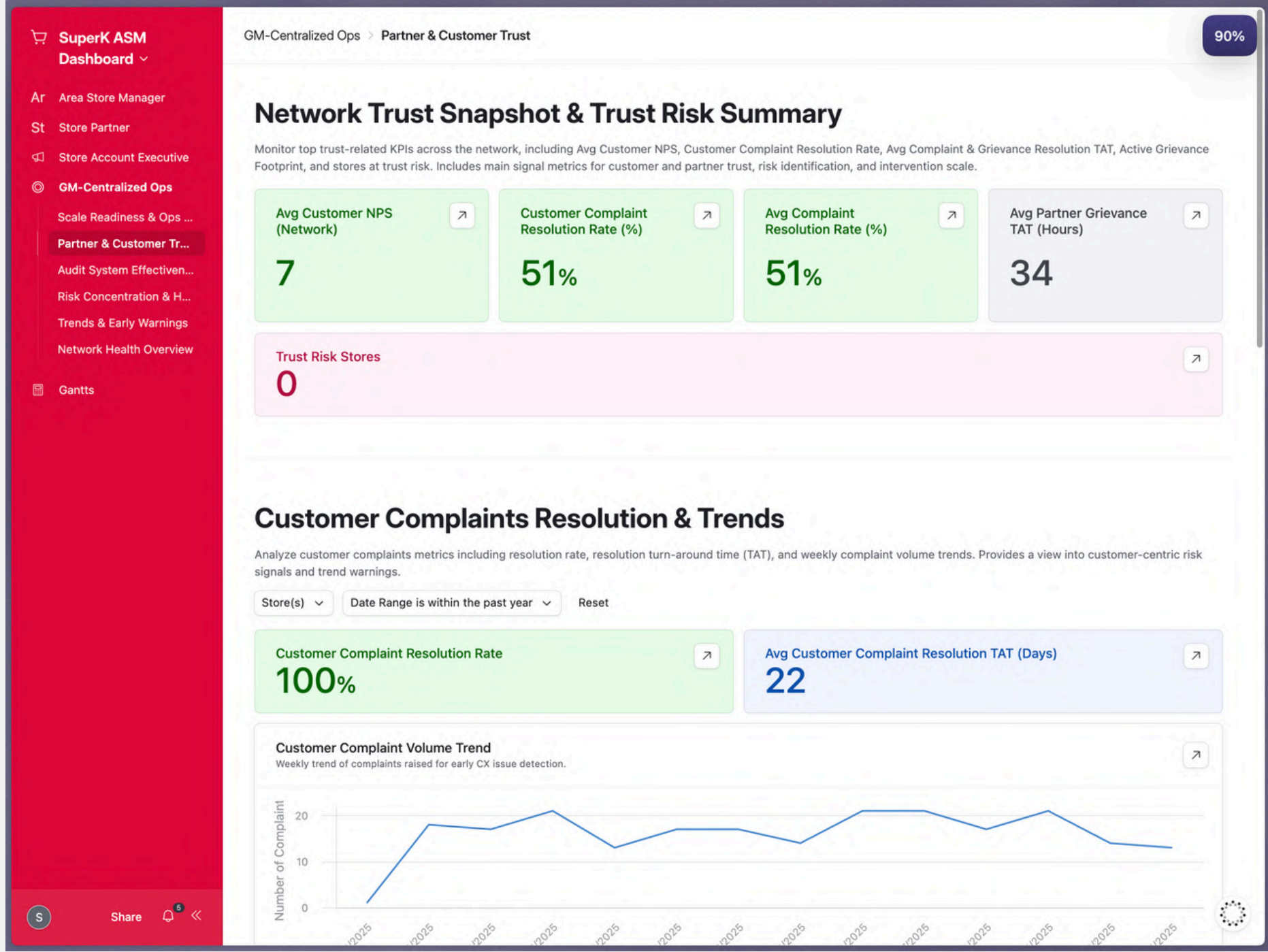
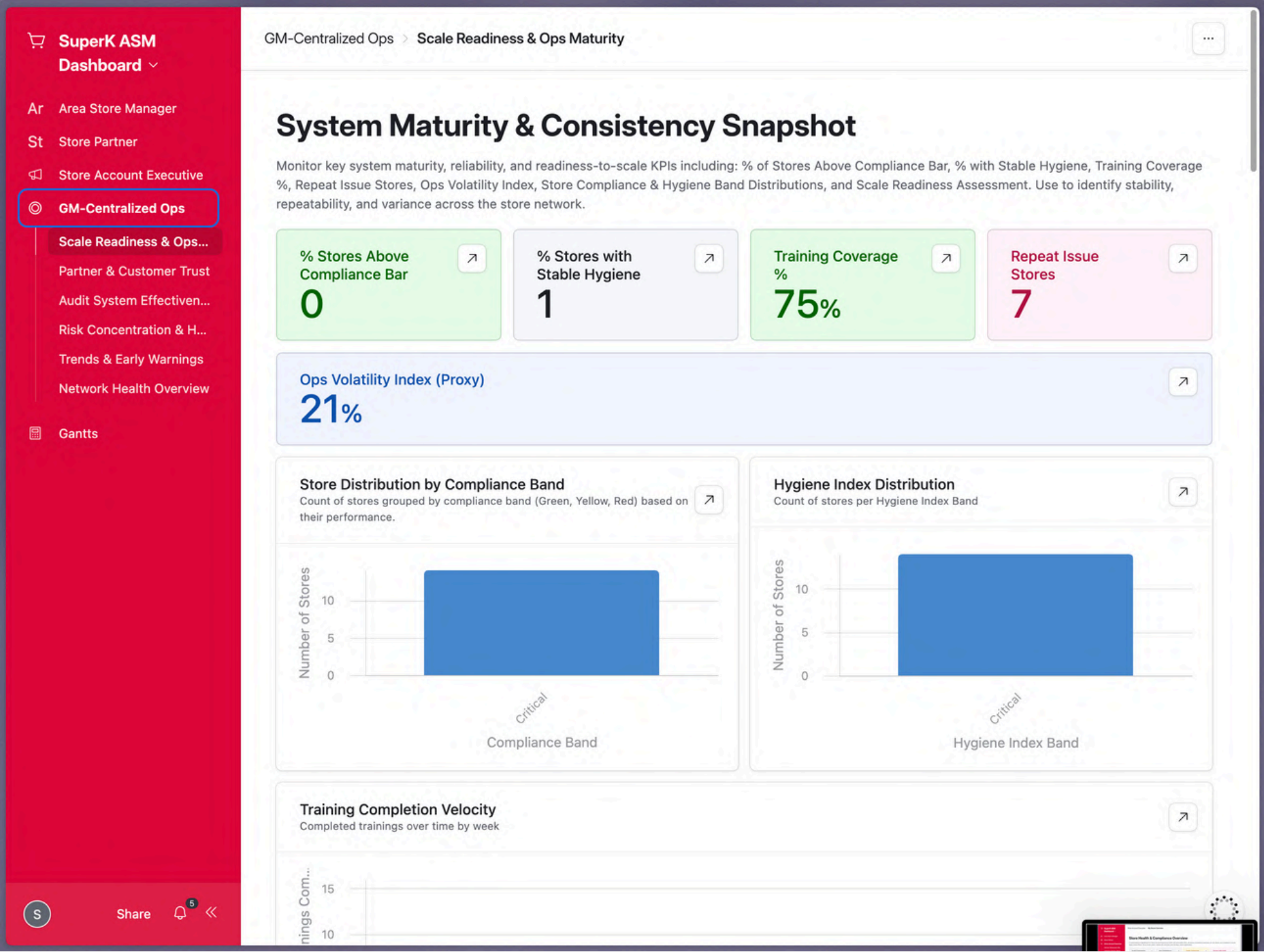
[Link to access the Sample Dashboard](https://airtable.com/appy9rRzGIVFJyJjW/pagyX8IsVw8Maw4YI)

Dashboard Snapshots - SP & SAE

**Ageing Partner Grievances**

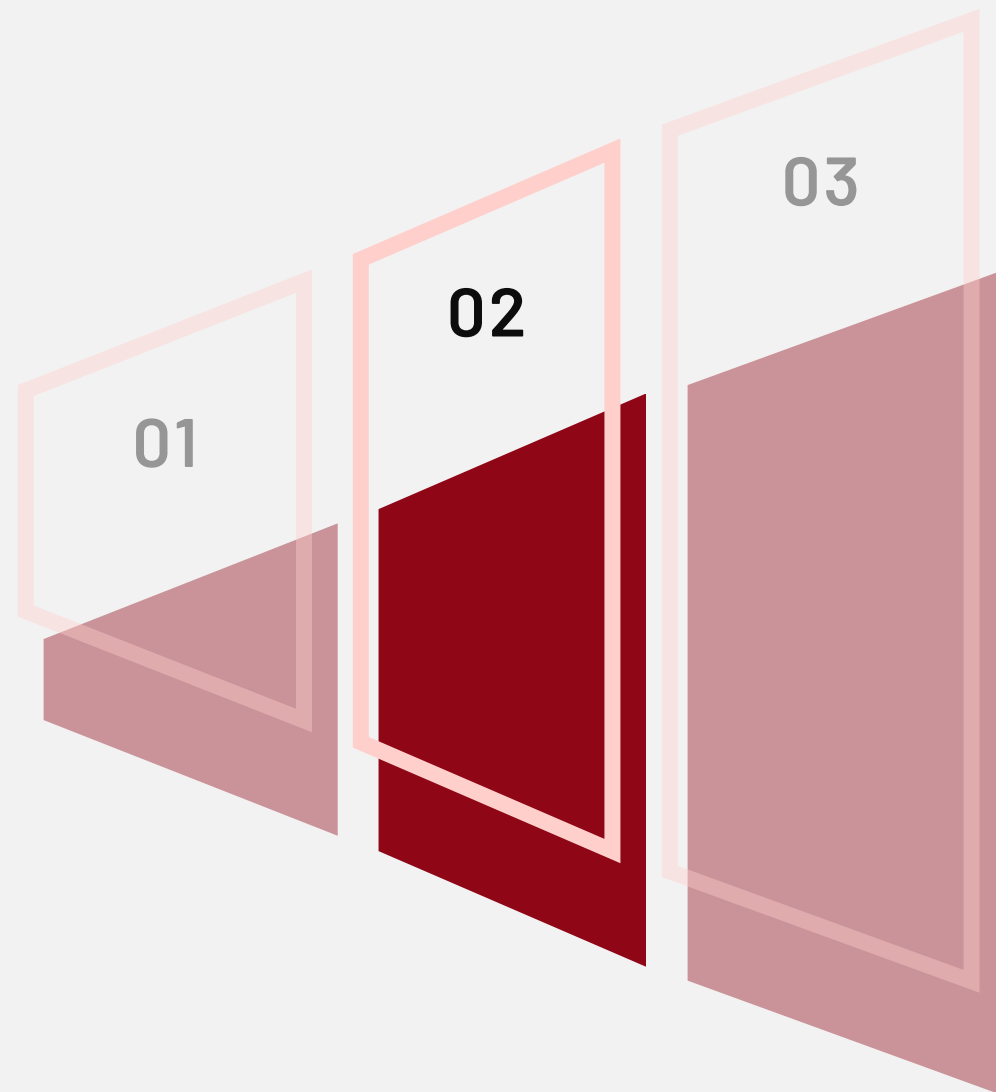
[Link to access the Sample Dashboard](#)

Dashboard Snapshots - Head Office



[Link to access the Sample Dashboard](#)

Solutioning for SuperK - 3 Key Implementations



Audit Management System - Standardizing Basics

A blueprint of what goes where, with what, and how much - so every store functions the same way.



AI Auditor: Continuous Eyes & Ears on Execution & Experience

Extending the data collection layer with Customer NPS collection & installing a new set of eyes verifying store ops.



Planogram Discipline - Driving Consistency in What Sells

A blueprint of what goes where, with what, and how much - so every store functions the same way.

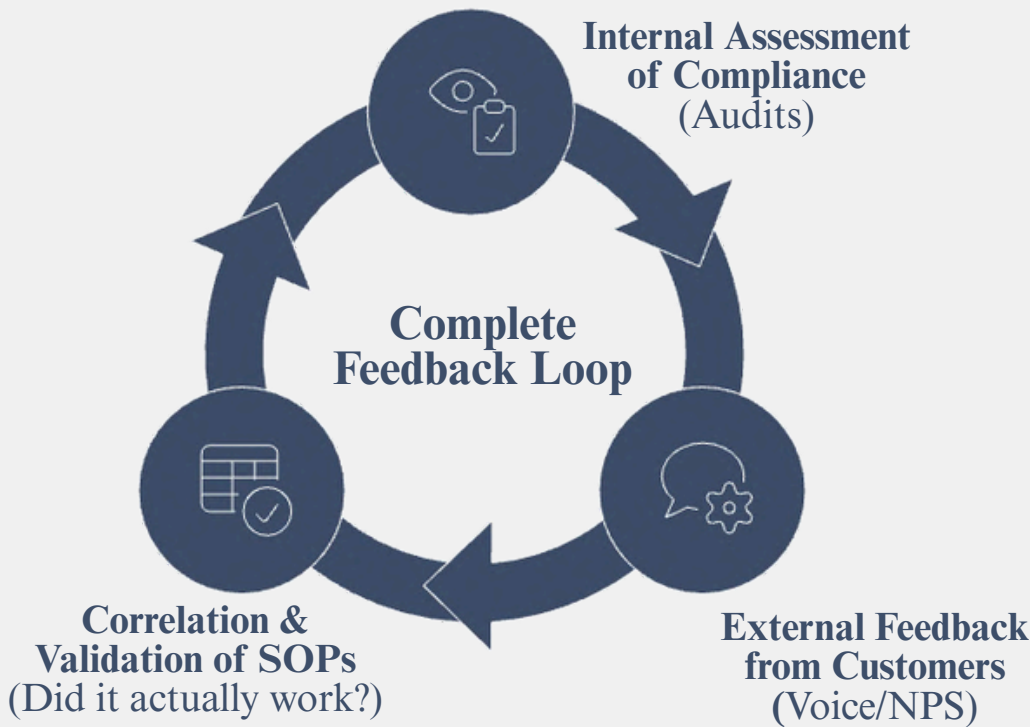
Together, these three layers move SuperK from reactive checks to proactive, system-driven execution.

Primary Data Collection Layer Unlocked by AI Agents - Customer NPS

Beyond audits and SOP checks, one critical layer is missing in how store execution is evaluated: **the customer's lived experience on the store floor.**

Other benefits:

- Unfiltered & unadulterated on-call feedback.
- Early signals of execution gaps caught due to voice feedback.
- Scalable across 130 stores using AI.

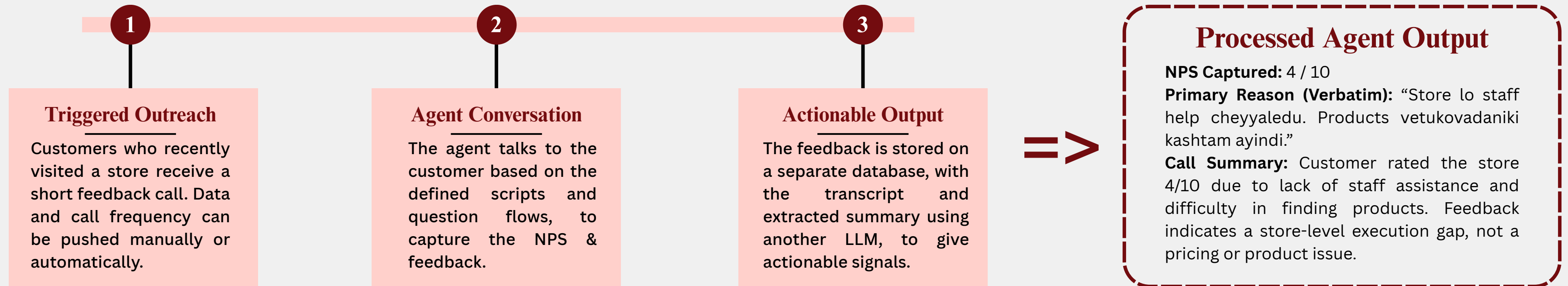


Sample Run of the Agent - Collecting NPS & Feedback from a recent customer

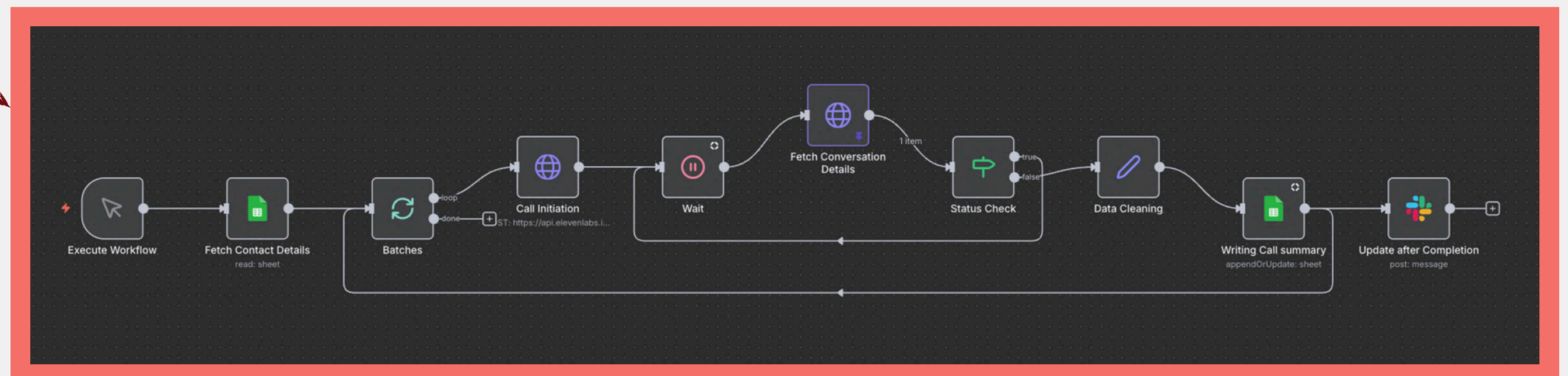
Audits tell us whether SOPs were followed. Customers will tell us whether they actually worked or not.

Customer NPS Collection Agent: Workings and Behind-the-Scenes

The agent follows a simple three step process, which can each be tracked, measured and improved upon individually.



Agent Workflow



Fun Fact: Reliance has implemented AI voice agents at a scale of almost 20k stores (Jio Haptik).

Customer NPS Collection Agent: Workings and Behind-the-Scenes

Input - Data fetched from google sheets →

Input						
No.	Customer_ID	Customer_Name	Phone_Number	Store_Name	Last_Visit_Date	Gold_Customer
Serial number	Unique customer	Full name	Calling number	Store identifier	Visit recency	Yes / No
1	CUST_001	Ranganadh	8008473344	KVR Mart	2025-01-12	Yes
2	CUST_002	Chinmay	7889041637	SLV Store	2025-01-10	No
3	CUST_003	Devika	9584284264	KVR Mart	2025-01-08	No

Raw output from ElevenLabs →

Raw Output						
No.	NPS_Raw	NPS_Confirmed	Primary_Reason_Raw	Transcript_Raw	Questions_Asked	Engagement_Level
Serial number	Spoken score	Yes / No	Verbatim reason	Full transcript	Agent questions	Low / Med / High
1	Around 4	Yes	Staff did not help, difficult to find products in the store	Agent called, asked NPS, customer gave 4 and explained staff was not helpful	NPS, Reason	Medium
2	9	Yes	Good pricing and items easily available	Customer appreciated pricing and quick shopping experience	NPS, Reason	Medium
3	Above 7	Yes	Billing counter was slow, queue took time	Customer mentioned delay at checkout and ended call early	NPS, Reason	Low

Output processed by LLM →

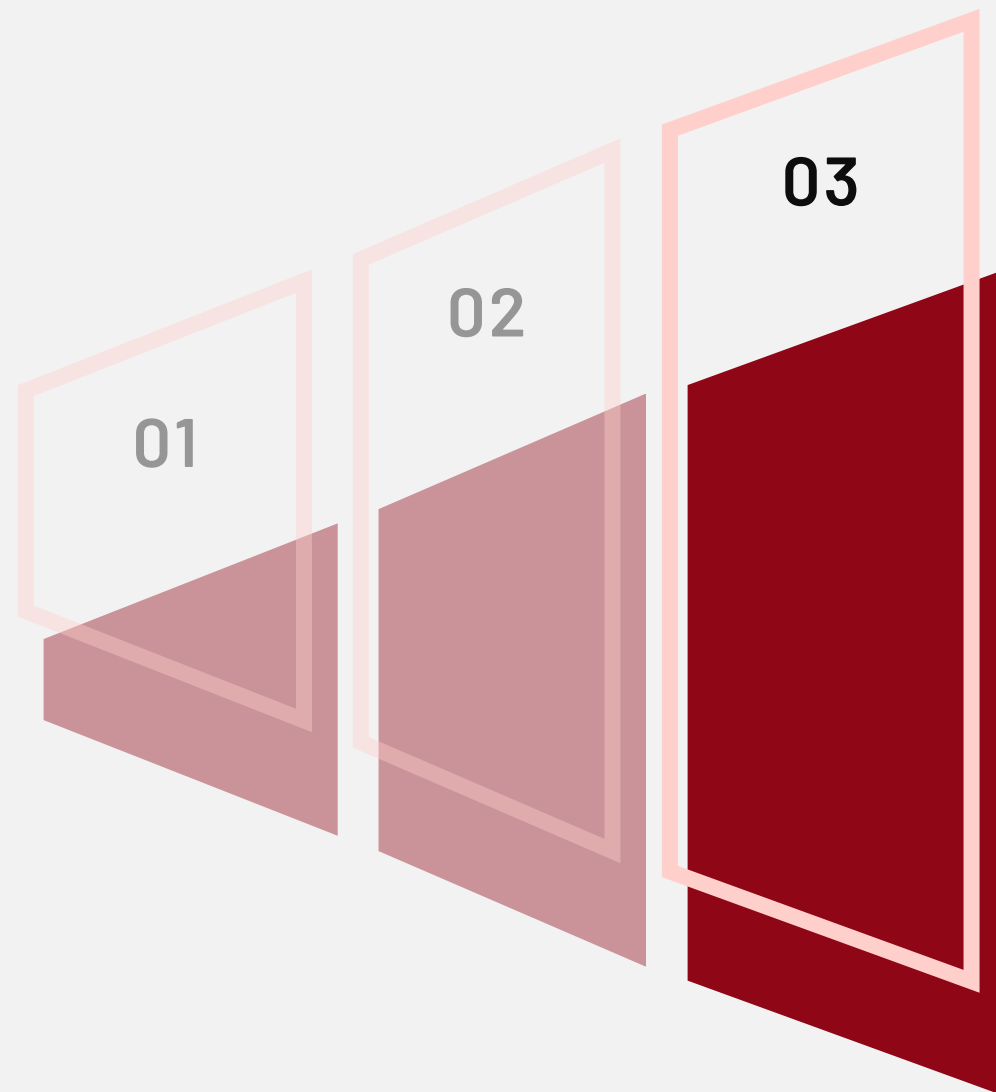
Keys made in the DB by the workflow for internal data linkage and sanity

Internal Linking			
No.	Call_Status	Conversation_ID	Call_Duration_Sec
Serial number	completed / partial	Call join key	Call length
1	completed	conv_demo_001	34
2	completed	conv_demo_002	28
3	partial	conv_demo_003	18

Processed Output						
No.	NPS_Score	NPS_Bucket	Key_Themes	Ops_Domain	Improvement_Signal	Confidence_Flag
Serial number	Parsed number	Pro / Pas / Det	Extracted themes	Ops category	Action hint	Data quality
1	4	Detractor	Staff availability, product discovery	Store Ops	Improve floor assistance	High
2	9	Promoter	Pricing, availability	Pricing & Merchandising	Maintain current standards	Medium
3	7	Passive	Checkout speed	Checkout Ops	Reduce billing wait time	Medium

Up Next: Taking AI Implementations one level deeper with Vision Language Models to analyze live camera feed

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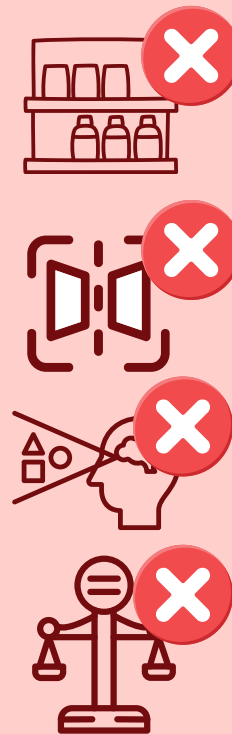
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Planogramming: The Missing Link Between Store Economics and Growth

What Planogramming is NOT

Planogramming is not about forcing layouts or dictating shelf arrangements. It is about defining how decisions should be made, not what must be placed where.

- 1 Prescribe fixed shelf layouts for every store
- 2 Enforce a single “ideal” planogram across locations
- 3 Optimise shelves for aesthetics or visual symmetry
- 4 Allocate space based on brand pressure or fairness
- 5 Treat all SKUs and categories as equal on the shelf



The goal is not to tell stores how to place products, but to define how placement decisions should be made.

When we write the **FUNDAMENTAL EQUATION OF PROFITS** for SuperK;

- Profit per Store = (Profit per Basket) × (# of baskets) - (Fixed & Variable Costs)
- Profit per Basket = (Basket Value) × (Gross Margin %) - (shrinkage + wastage)
- # of baskets = (Catchment Population) × (Visit Frequency) × (Conversion %)

This is where the Art of Planogramming comes into play. This affects:

1. Conversion %

- Visibility of SKUs
- Ease of finding products
- Reduced decision friction
- Impulse discovery

2. Basket Value

- Cross-category adjacency
- Impulse & profit generators
- Better scan paths

3. Wastage & Shrinkage

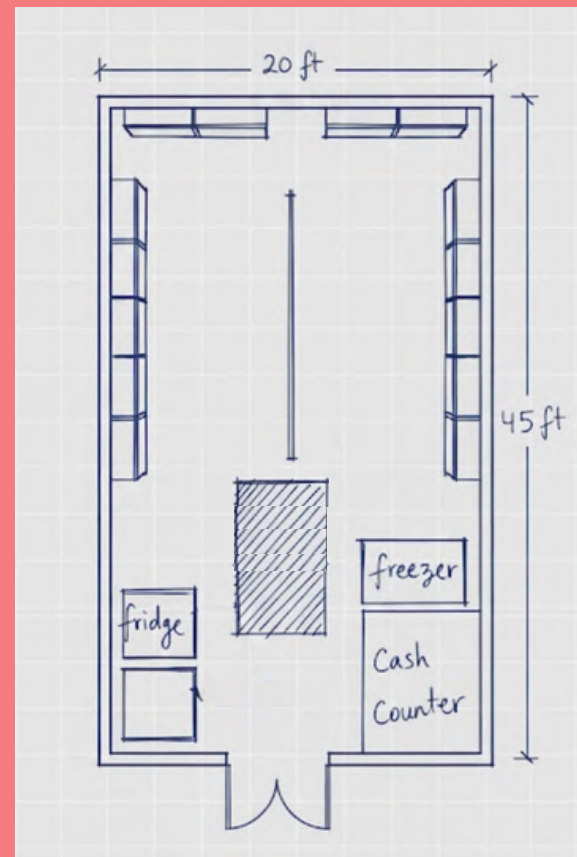
- Faster movement of slow SKUs
- Reduced dead stock zones



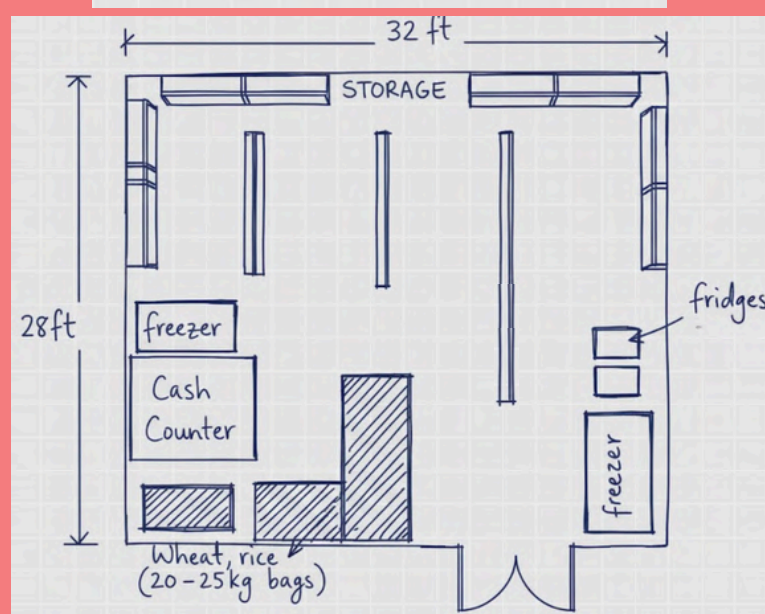
Planograms are the lever that translates store economics into shopper behaviour.

Defining Rules Observing Stores to Derive the core structure

SLV Store - Lowest GMV

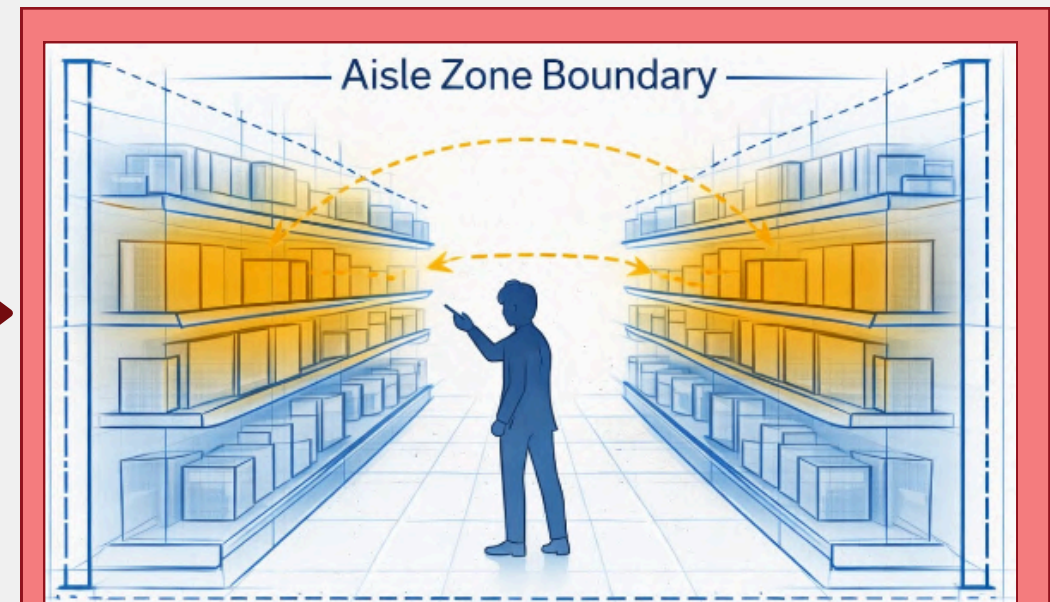


KVR Mart - Highest GMV



Studying real store layouts on the ground surfaced key insights into how planogramming needs to work in practice.

- 1 **Stores are space-constrained, not assortment-constrained:** The primary limitation is where things can physically go, not what categories exist.
- 2 **Shelves do not operate in isolation, aisles do:** Every customer experiences two facing shelves + the walking path as one continuous decision environment; forming an **AISLE ZONE**
- 3 **Large, immovable fixtures define everything else:** Counters, freezers, fridges, and grain bags create fixed constraints that planograms must work around, not against.
- 4 **The same shelf behaves differently based on its aisle context:** Identical shelving units play different roles depending on what they face, how wide the aisle is, and where they sit in the store.
- 5 **Performance differences cannot be explained by layout alone:** This confirms the need for shared principles that adapt across layouts, not store-specific instructions.



An aisle zone is the physical section of an aisle where shoppers evaluate and decide across both facing shelves.

From these real store constraints and aisle-zone behaviors, we derive the principles that guide our planogramming approach.

Instead of prescribing layouts, we asked: What principles would hold true across most SuperK stores, despite these constraints?

Planogramming Principles Derived from Real Store Constraints

These principles are not theoretical. They are derived directly from how space, movement, and decision-making actually play out inside SuperK stores. The goal is not uniform shelves, but consistent decision environments.

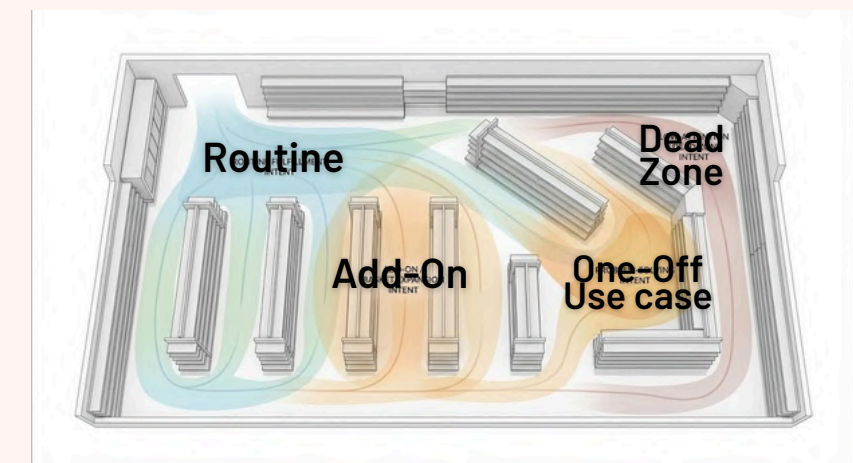
1 Design at the Aisle Zone Level, Not the Shelf Level

Treat the aisle zone (both facing shelves plus the walking path) as the atomic unit of shopper decision-making. Customers evaluate options across both sides simultaneously, not shelf-by-shelf. The shelf only makes sense in relation to what it faces.



2 Assign One Dominant Shopper Intent per Aisle Zone

Each aisle zone should serve a single dominant shopper intent (like Routine Refill, Quick Add-ons, Problem Solving). Mixing multiple intents within the same zone increases friction and weakens conversion.



3 Spaces have a Dedicated Role for the store

Shelf space is assigned based on the role an aisle zone plays in **driving conversion** and **basket value**; NOT on equal treatment of categories or brands.

4 Build Principles That Transfer Across Store Layouts

Performance differences across similar stores show that rigid layouts don't scale. Planograms must encode frameworks to build rules, not fixed placements.

5 Let Fixed Store Constraints Anchor Planogram Logic

Counters, freezers, fridges, storage access, and bulk SKUs create immovable constraints. Planograms must work around these anchors, not against them (obvious but important).

This framework enables consistent planogram logic without forcing identical layouts.

And finally: A Visual Layer for Continuous SOP Verification

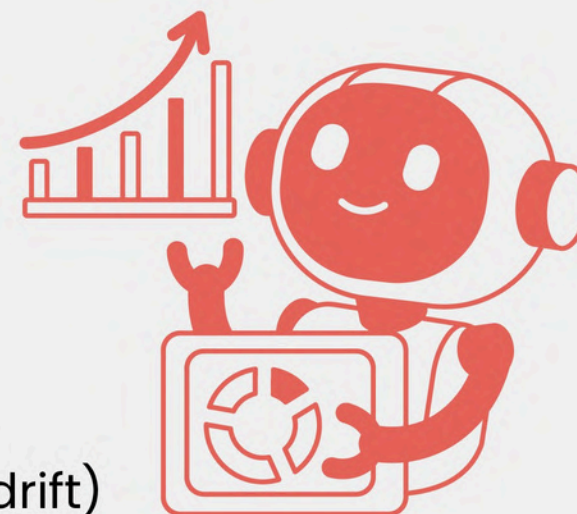
To truly understand store reality, we need an AI layer that can “see” what dashboards can’t – **analysing images and videos from CCTV, SAEs, and Store Partners to verify SOP execution** and automatically flag deviations whenever they appear.

WHAT THE AI LAYER DOES:

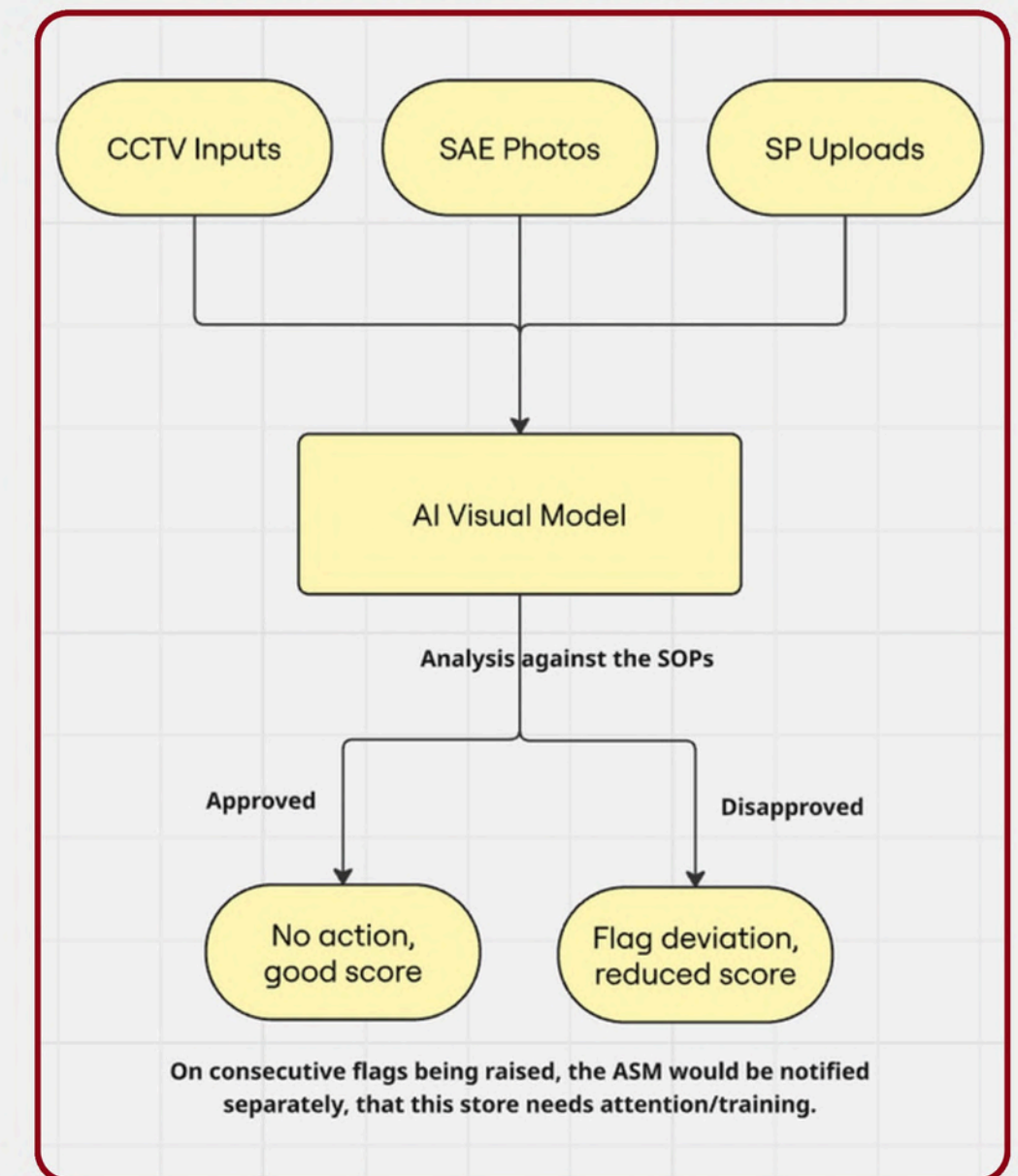
- Stockouts & Shelf Compliance – Stockouts, missing facings, low-fill, misplaced SKUs
- Store Cleanliness & Hygiene – Clutter, hygiene lapses
- Planogram Compliance – Correct shelf placement, category rules
- SOP Execution Verification – Mandatory steps, anomalies dashboards can’t catch

ANCILLARY AI CAPABILITIES (FOR FUTURE IMPROVEMENTS)

- Predictive alerts for stock risk or SOP drift
- Self-optimizing planograms
- Dynamic SOP coaching
- Category optimization suggestions
- Natural-language explanations of performance
- Behaviour-pattern detection (ordering confidence, execution drift)



MEDIA FLOW FOR VISUAL ANALYSIS



Hence, AI adds the final layer: visibility of continuous SOP execution; already implemented by 7-Eleven & Walmart.



PLAN OF ACTION AND PROJECTED IMPACT

Plan of Action: Building the System in Parallel, Sequentially

We build all three systems in parallel to accelerate learning, but let each mature sequentially – first stabilising execution, then optimising placement, and finally automating verification.

<i>Solution</i>	Early (0–3 months) <i>Build & Learn</i>	Mid (3–6 months) <i>Execute & Refine</i>	Late (6+ months) <i>Lock & Scale</i>
AMS (Audit Management System)	• Finalise core metrics & data definitions • Integrate POS, audits, partner inputs into a single master dashboard • Establish a non-penalty learning window	• Create role-based views (ASM, Ops, Leadership, Store Partner) • Refine on metrics; Store Health Score • Embed dashboard usage into daily ASM routines	• Metric lock (v1.0) & governance ownership model • Scale-readiness assessment • SOP & audit standardisation pack for network rollout
Planogram Discipline	• Lock foundational principles (aisle zones, shopper intent areas, fixed constraints) • Begin store-level planning using SuperK's existing learnings • Align with ongoing internal planogram work	• Develop training material & light, coachable planogram audit checks • Pilot planogram principles in 2–3 stores • Correlate iteration changes with sales & NPS	• Standardised planogram playbook for scale • ASM-led coaching as default operating rhythm
AI Auditor (Eyes & Ears)	• Start customer NPS collection immediately • Outsource voice agent execution for realism & speed; since Telugu agents are complicated • Build NPS data model & storage	• Establish NPS ↔ audit correlation framework • Stabilise data quality & signal reliability • Expose ASMs to customer voice signals	<i>Endless applications: large 3-4 year timeframe</i> • Computer vision feasibility & ROI assessment • Continuous execution monitoring & closed feedback loops • Explore advanced automation (planogram refinement, alerts)

Each phase strengthens conversion, basket value, or execution reliability: the same profit equation, different levers.

Impact on the SuperK's Fundamental Business Equation

Everything we've built ties back to one Profit Equation. SuperK's profitability is driven by three controllable levers: Conversion, Basket Value, and Execution Reliability. Each solution we talked about here strengthens a different part of the same equation; and together, they reduce variance and increase predictability at scale.

“ Profit per Store = (Profit per Basket × # of Baskets) – (Fixed & Variable Costs) ”

REVENUE



CONVERSION %
(# of Baskets)

Improves as decision friction reduces and availability failures are caught before they impact customer choice.

- Measured via footfall-to-bill conversion and early customer signals
- Improves through reduced friction, better availability, and cleaner execution

REVENUE



BASKET VALUE
(Profit per Basket)

Increases through clearer aisle intent and adjacency logic that nudges add-on and impulse purchases.

- Measured via POS basket trends and SKU attach rates
- Improves through intent-led aisle zoning and adjacency logic

STABILITY



VARIANCE REDUCTION
(Predictability at Scale)

Narrows because execution is governed by systems and signals, not individual judgement.

- Measured through narrowing gaps between similar stores
- Improves forecasting reliability and protects unit economics

COST



WASTAGE & SHRINKAGE
(Cost Leakage)

Declines as slow-moving and forgotten SKUs become visible early, not at month-end.

- Measured via audit flags, inventory ageing, and exception frequency
- Reduces through faster SKU movement and earlier intervention

This is how SuperK moves from managing stores to engineering consistent, scalable profitability: The same stores, with the same people, begin producing more predictable outcomes — because the system makes the profit equation observable and controllable.



THANK YOU

ANNEXURE:
Excerpts from on-ground primary research

The Scaling Paradox: System Health vs. Unit Reality



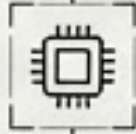
The Dashboard Illusion: POS data confirms revenue growth, but masks critical operational decay (stock-outs, external sourcing).



The "Human" Cap: Store success correlates with Partner personality/hustle, not system adherence.



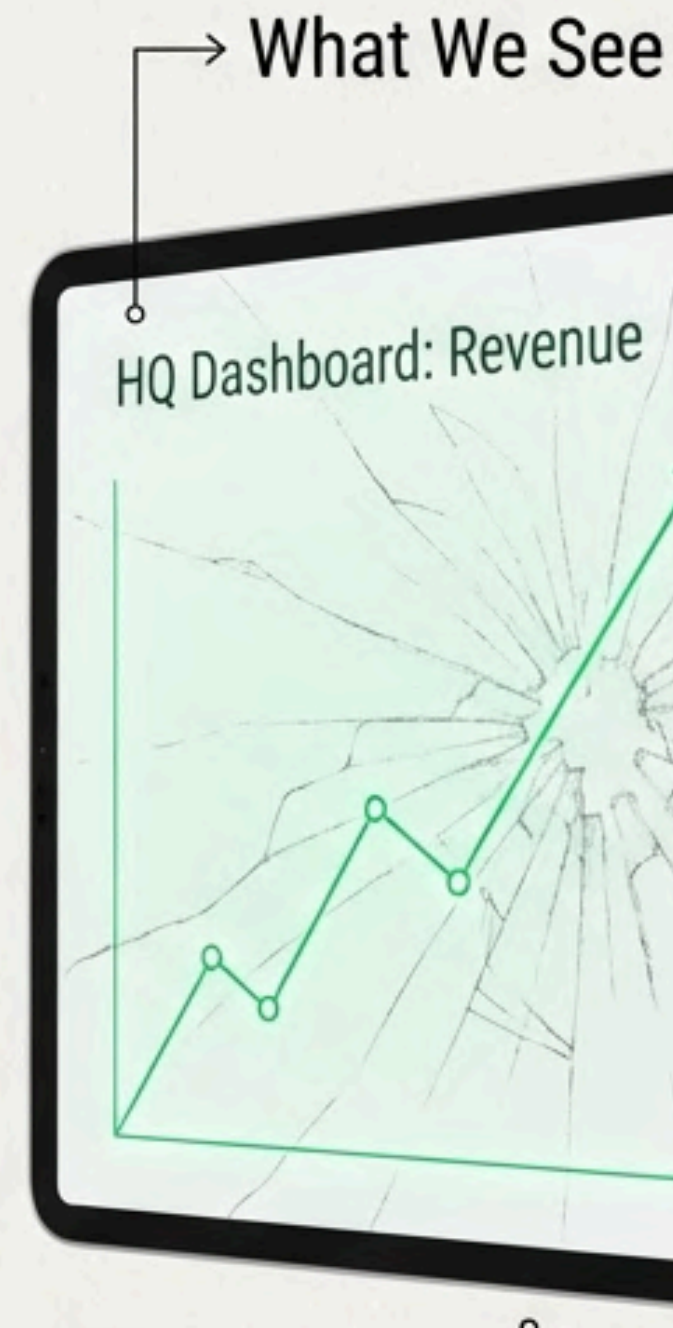
Incentive Misalignment: Margin compression (~6%) drives Partners to optimize for risk reduction, not growth.



Field Blindness: Support teams function as auditors, not coaches. The model breaks before 300 stores.

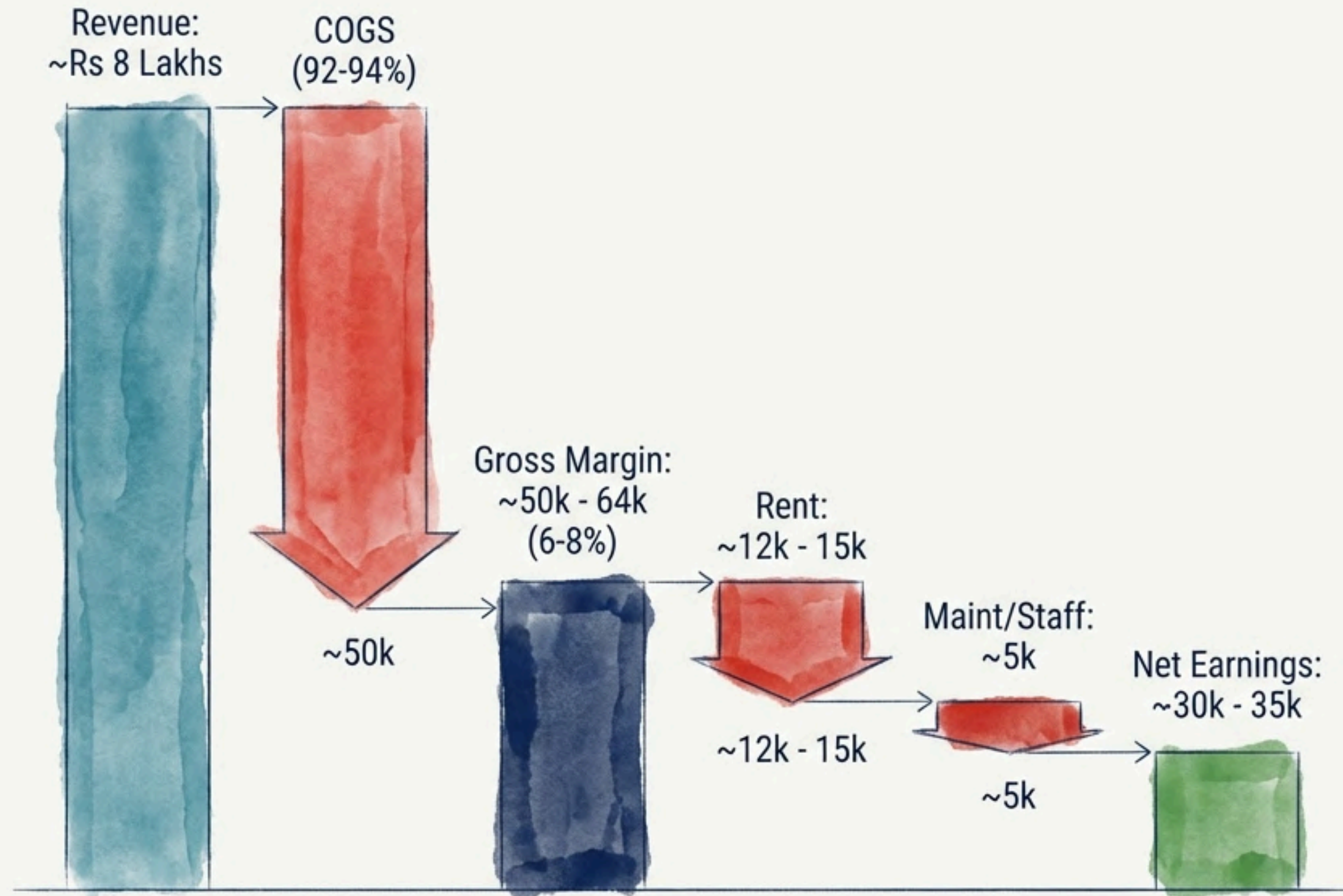


The Verdict: Scaling a "high-touch" model using "low-touch" tools.



What Is Happening

Partner Economics: Margin Compression is Eroding Engagement



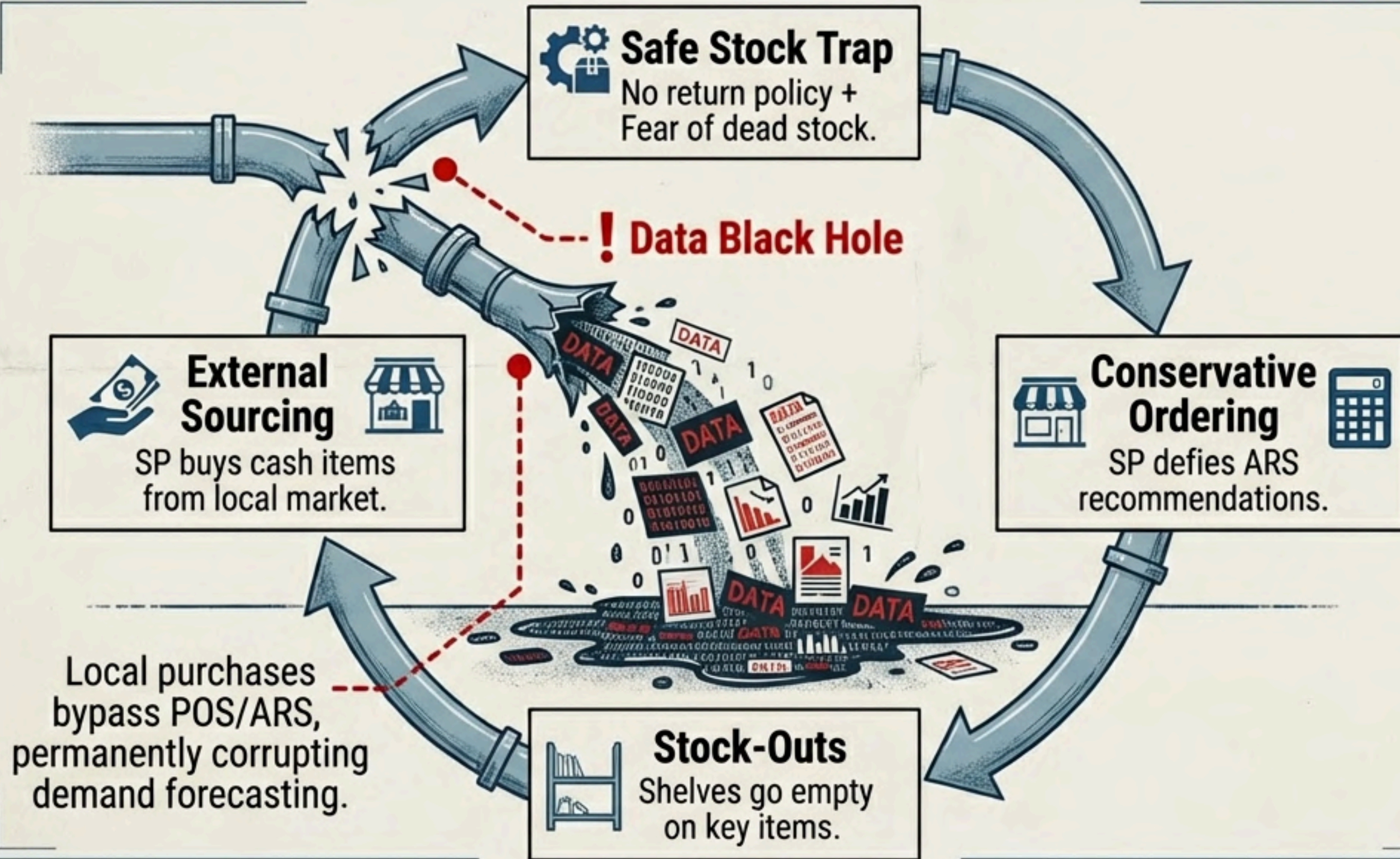
Historical margins were ~10%, now compressed to 6-8%.

Partners compare this unfavorably to the risk/effort involved vs. simple employment.

“Not satisfied that barely 30-35k is left in hand after so much investment.” — Partner, SR Mart

”

The Inventory Vicious Cycle: Data Integrity is Leaking



- **Risk Aversion:** SPs protect working capital by under-ordering.
- **The Cascade:** To save face with customers, SPs fill gaps with cash purchases (Campa, local staples).
- **Customer Impact:** Perception of reliability drops. "SuperK doesn't have it" becomes the narrative.

Quality Consistency and Supply Gaps Strain Franchise Trust

Private Label Quality Issues

Specific product complaints are damaging brand reputation.

📄 Black Tamarind
(Due to airtight packaging)



📄 Subpar Toor Dal
(Tripthi Brand)



“Saif says even though he has raised several complaints on this, the company does not act.

— Partner, Saif Kirana

”

The Competitor Fill

Partners bypass supply chain to keep shelves full.

📄 Stocking Campa energy drinks (Non-SuperK)



📄 Stocking Hatsun Dairy products

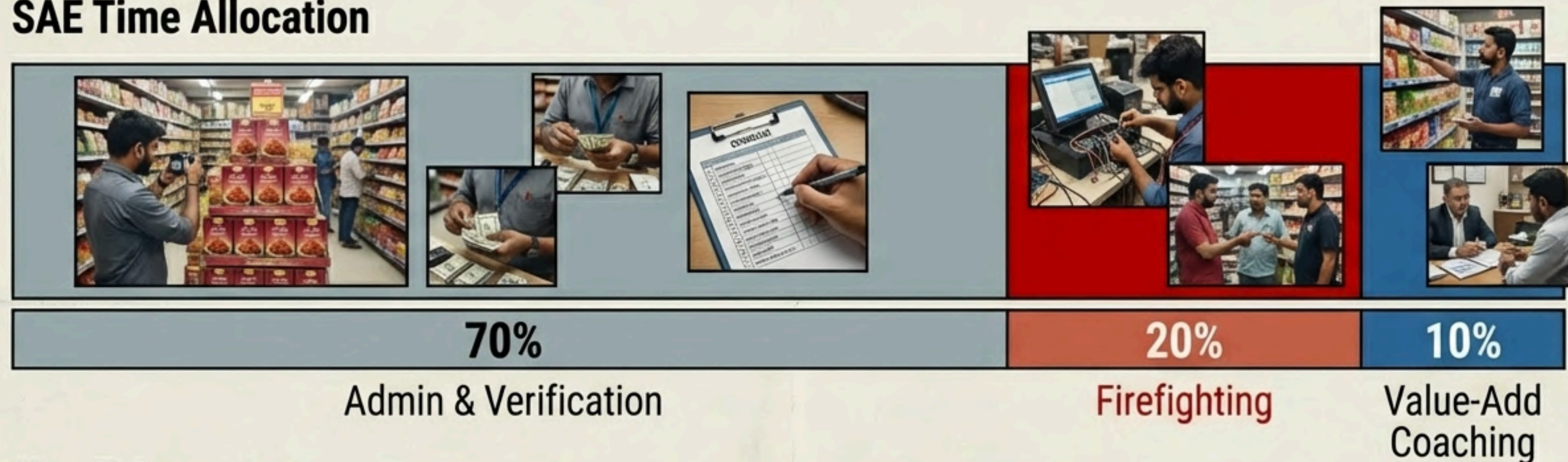


📄 Mandate: “Customer should never be told something is not available.”



Field Operations: The Bottleneck of 'Compliance over Coaching'

SAE Time Allocation



Key Takeaways



Activity vs. Impact: Field teams are consumed by low-value tasks like photographing 'Gulab Jamun' displays.



The Knowledge Gap: SAEs often lack the retail acumen to coach SPs. The blind are leading the blind.



Dependency on Tribal Knowledge: Massive reliance on specific individuals (e.g., RSM Ali). New stores flounder without access to these 'fixers'.

Field Support has Devolved into Auditing rather than Enabling

Current Reality: The Audit



- ✓ Checking banner placement
- ✓ Photos of Hero Products (e.g., MTR Gulab Jamun)
- ✓ Collecting outstanding payments

Needed Reality: The Enablement



- ✓ Fixing merchandising issues
- ✓ Coaching on soft skills
- ✓ Explaining commission calculations

“

They don't come to understand our challenges, only with work.

— Partner, Sri Shiva Shakti

”

SuperK officials have stopped treating us as “partners” and treat us as replacable “assets”

The Partner Phase

Early Days

- Handholding
- Helping us make money
- Spending time in store



The Asset Phase

Growth Phase

- Your call if you want to continue
- Focused on opening new stores
- Neglecting existing SPs



“

Long-time partners like SR Mart feel the relationship is a ‘lost cause’ as the organization prioritizes new store counts over existing store health.

”

Profile of a Star: The KVR Store

Case File

Revenue: Rs 25 Lakhs / Month
Status: Top Performer

Key Success Drivers

1. **Proactive Engagement:** "It's the smile, sir." Explaining benefits to every walk-in.
2. **Referral Loops:** First-time customers come via friends/family referrals.
3. **Experience:** The store functions as a **community hub**, not just a shop.



Performance Variance: The 'Founder Factor' Outweighs the System

The Outlier (e.g., KVR Store)



Key Trait: Active Hustle

Behavior: Manages relationships, upsells memberships, greets every customer.

Result: High Revenue, Brand Evangelist.

The Median (e.g., SR Store)



Key Trait: Passive Income Mindset

Behavior: Treats model as investment, awaits instructions, ignores training.

Result: Stagnant Revenue, Resentful.

Critical Insight: The Capability Gap

- **Legacy vs. New:** Early partners feel neglected; new partners flounder without basic retail 'hand-holding'.
- **Location Sensitivity:** Premium assortments fail in 'mass' areas dependent on daily wages.
- **Implication:** We are currently dependent on finding 'unicorn' partners rather than building a unicorn system.

Consumer Behavior: The Shift from "Gifts" to "Gold Membership"

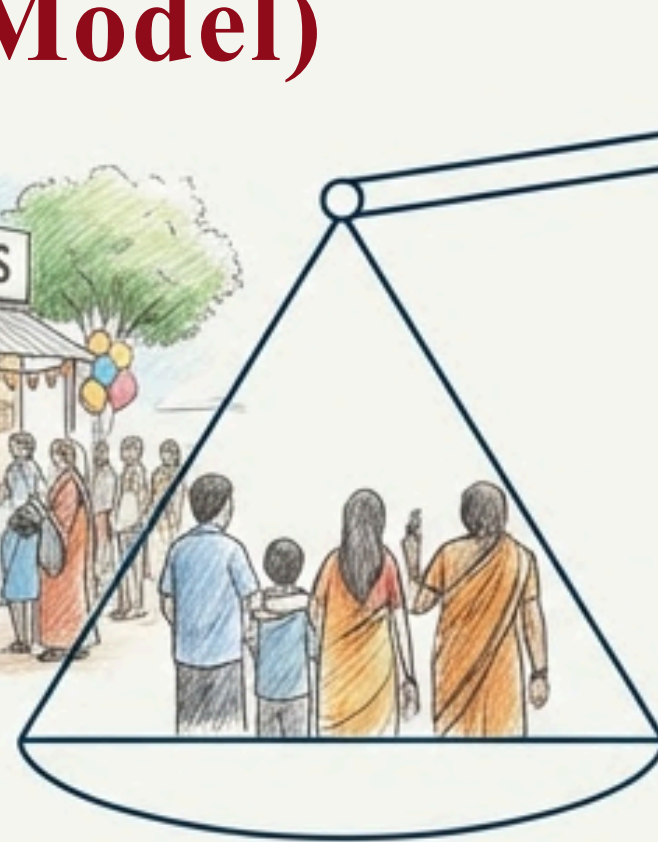
(Old Model)

(New Model)



High Excitement

- 1st-10th of the month offers.
- Free sugar/gifts drove massive footfall.
- “Women in the house attracted to **gifts**.”



High Stickiness

- Gold Membership (Rs 300/6mo).
- Good for **retention**, but **lacks** the “event” feel. ⚠️



Rural customers are “**Mental Calculators**.” They don’t check price tags; they ask at the counter and compare against a **mental benchmark** of market prices.